

FLEX SUPREME

PRIMARY RESIDENCE				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type
740	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	80	65	
	3,000,000	75	N/A	
700	2,000,000	80	75	
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type
700	2,000,000	80	75	SFR, PUD, Warrantable Condo
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	Max LTV Purchase & Rate/ Term	Max LTVCash-Out Refinance	Property
700	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	

OVERVIEW

The Flex Supreme Program is designed for the most qualified borrowers from an income and credit standpoint, with less complex transactions.

GEOGRAPHIC RESTRICTIONS

DC	• Investment Properties are ineligible.
FL	• Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. • Charlotte, Lee, Hendry, and Glades Counties: Investment Properties are ineligible.
HI	• Eligible for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	• Cook County: all occupancies are ineligible. • Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
IN	• Indianapolis: Investment Properties are ineligible.
MD	• Baltimore City: all occupancies are ineligible.
NJ	• Patterson: Investment Properties are ineligible.
NY	• NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. • All originations are restricted as follows: ○ Brooklyn: Investment Properties are ineligible. ○ Orange County: all occupancies are ineligible. ○ No 5/6 ARMs on Investment Property loans below the FNMA loan limit. ▪ See NY Subprime section for requirements.

	Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	Lubbock: Investment Properties are ineligible

GENERAL REQUIREMENTS

Exceptions	Ineligible
Product Type	30 Year Fixed Fully Amortizing 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 & 7/6 SOFR ARMs - Fully Amortizing only, qualify at higher of fully indexed
Interest Only	- Minimum 700 credit score and Max 75% LTV. - First Time Homebuyers are ineligible
Loan Amounts	Minimum \$100,000 and Max \$3,000,000
2-1 Buydown	Ineligible
Occupancy	Primary Residence, Second Homes, and Investment Properties
Loan Purpose	Purchase, Rate & Term Refinance, and Cash Out Refinance
Cash Out Refinance	- Minimum of 6 (six) months seasoning from most recent transaction. <=70 LTV: Unlimited and >70 LTV: \$500,000
Interested Party Contributions	<u>Primary Residence and Second Homes:</u> <= 75% LTV = 9% > 75% = 6% <u>Investment Properties:</u> - Max 6%
Ineligible Transactions	- Non-Occupant co-borrowers on Second Home and Investment Properties - Refinances of properties listed for sale in the previous 6 months (based on the application date) - Escrow Holdbacks - Community Land Trusts
Subordinate Financing	Eligible on Primary Residence and Second Homes
Escrow Waivers	- Waiver of escrows is eligible as follows: - Primary Residence and Second Homes only - Loan must be non-HPML - Housing History: 0x30x12 is required - Flood Insurance premiums for properties located in zones A or V must be escrowed. Note that it is permissible to waive taxes and insurance escrows in these instances when the above requirements are met and the loan is priced with an escrow waiver. In addition, elective flood policies are not required to be escrowed.
Prepayment Penalty	Required where permitted for Investment Properties . Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	- Credit: 120 days - Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> - U.S. Citizens - Permanent Resident Aliens - Non-Permanent Resident (U.S. credit only) - Non-Occupant Co-Borrowers - First Time Homebuyer (FTHB)	<u>Ineligible:</u> - ITINs - DACA - Foreign Nationals - See Guide for full restrictions
Non-Occupant Co-Borrower	- Eligible for Primary Residence only - Max Total DTI 50% - Max 65% DTI for occupying borrower - Cash Out is ineligible - Non-occupant co-borrower must be a relative - Rate & Term Refinance (non-occupant co-borrower must be on current loan)	

	• Max Loan Amount \$1,000,000
First Time Homebuyer (FTHB)	• 1-Unit Primary Residence only • 0x30x24 rental history • Max DTI <= 50% • Minimum 7-years seasoning for credit events • Cash-Out is ineligible • Interest Only ineligible • At least 1 borrower must have a 24 month rental history • When at least one borrower has owned a residential property in the prior 3 years, the FTHB requirements do not apply

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score of 680 is required • A minimum of 2 credit scores is required • The Representative Credit Score is based on the primary borrowers' credit score; qualify as follows: ○ Highest middle credit score of 3 or lower of 2 credit scores ○ When qualifying income is equal for all borrowers on the loan, the highest representative score will be used. • Additional borrowers must have a minimum 600 score.
Tradelines	• When the primary borrower does not have 3 credit scores, the following minimum tradelines are required: ○ 2 open and reporting trades for 24 months; or ○ 3 open and reporting trades for 12 months; or ○ 24-months mortgage rating reporting on credit report • Spouses may combine trades
Housing History	• 0x30x12 • First Time Homebuyer 0x30x24
Credit/Housing Events	• Borrowers with prior significant derogatory credit events must meet the following criteria: ○ All borrowers must have reestablished acceptable credit verified after the credit event ○ Borrowers with unrelated multiple significant credit events are ineligible ○ Minimum 4 years seasoning required ○ Chapter 13: use filing date if discharged; use dismissal date if dismissed ○ First time homebuyer >= 7 years seasoning required

DTI AND RESIDUAL REQUIREMENTS

Max DTI	• Max 50%
Residual Income	• Applies to HPML loans or when the DTI > 43% on Primary Residence and Second Homes only • Defined as Gross Monthly Income less Total Monthly Obligations • Requirement based on # in household: ○ 1 person = \$1,500 ○ 2 people = \$2,500 ○ Add \$150 per additional household member (related or unrelated)

INCOME REQUIREMENTS

Self-Employment	• Borrowers must have a minimum of 2 years in the current business
Full Doc - Income Requirements	
Wage Earners	• 30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 transcripts when electronic VOE not provided, and a fully executed and signed IRS Form-4506C
Self-Employment	• 1 or 2 years of personal and business tax returns (including K-1s), YTD P&L, Tax Transcripts, 2 months of most recent personal or business bank statements to support the income on the P&L
Rental Income	• <u>Rental income on Tax Returns:</u> ○ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying

	- o Cash flow Analysis of Schedule E should be completed • <u>Rental Income NOT on Tax Returns:</u> - o Evidence of borrower's ownership of the property - o For a refinance and/or to document rental income on other REOs: ▪ Lease agreement ▪ Two months of bank statements demonstrating receipt of rental income. ▪ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source. ▪ 75% of the rental amount on the lease is used for qualifying. • <u>Rental Income from a Departing Residence:</u> - o 75% of the rental amount on the lease if used for qualifying. - o Evidence the rental amount is at market rate, which can be documented through an online source or a 1007. • <u>Short Term Gross Rental Income:</u> - o 12-month look back on rents received using bank statements; or - o Third party rental statements
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Alt Doc - Income Requirements

Personal Bank Statements	• 12 or 24 months of personal and 2 months of business bank statements • Qualifying income is determined by the total eligible deposits from the 12 or 24 months of personal statements divided by the number of statements • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history
Business/Co-Mingled Bank Statements	• 12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: - o Fixed Expense Ratio (50%); OR - o Expense ratio provided by a third party (CPA/EA or PTIN tax preparer), min ratio of 20%, OR - o Third party prepared Profit & Loss Statement (CPA/EA or PTIN tax preparer,) min ratio of 20% • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history
IRS Form 1099	• Borrowers receiving 1099 income are eligible if they are individuals paid via 1099 but are not business owners of the entity issuing the 1099; and meet the required 2 most recent consecutive full years of employment with the same employer(s) • 1 or 2 Years' 1099 • Fixed Expense Ratio of 10% • YTD documentation to support continued receipt of income from each employer or NQMF VOE (or similar form) when 1099 is > 90 days from the Note date • Ineligible for Investment Properties
Asset Utilization	• Qualified Assets must be seasoned for 3 months • Cash Out: follow LTV limits per the matrix • Max LTV must be reduced by 10% • <u>Monthly Income Calculation:</u> - o When the DTI without asset utilization is < = 60%: ▪ Monthly Income Calculation = Net Qualified Assets / 36 Months - o When the DTI without Asset Utilization is > 60% or when the borrower's entire income is comprised of income from assets: ▪ Monthly Income Calculation = Net Qualified Assets / 60 Months • <u>Ineligible Assets:</u> - o Business assets - o Unseasoned Foreign Assets - o Privately traded or restricted / non-vested stocks

ASSET AND RESERVE REQUIREMENTS

Assets	• Large Deposits: > 50% of gross income must be documented for purchases.
Reserves	• <= \$500,000 = 3 months PITIA • > \$500,000 to \$1,500,000 = 6 months PITIA

	• > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,000,000 = 12 months PITIA • Cash Out proceeds may be used to satisfy reserves. • When asset utilization is the sole source of income, reserves are not required. • All reserves must be deposited in a U.S. Financial Institution.
Gift Funds	• Gift funds are eligible provided borrower meets minimum contribution: ○ 5% primary ○ 10% Second Home and Investment Properties • 100% Gift Funds may be used for down payment and closing cost for Primary Residence and Second Home when the LTV U.S. <=to 80%. • For Investment Properties, gift funds are eligible after meeting the minimum 10% borrower contribution regardless of LTV. • Gift funds are ineligible for reserves. • Gift of Equity is eligible for Primary Residence only.

PROPERTY REQUIREMENTS

Property Type	Single Family, PUD, Townhome (Attached/Detached)	• Single Family residences with 1 or more accessory dwelling units (ADU) are eligible if subject property is in a municipality that allows. The Appraiser must specifically confirm compliance with local regulations and provide a minimum of 2 similar comparables.
	2-4 Units	• Max 75% LTV • Not eligible for First Time Homebuyers • Not eligible for Second Homes • 2-4 units with 1 ADU are eligible if permitted by the local municipality. The appraiser must specifically confirm compliance with local regulations and provide a minimum of 2 similar comparables.
	Condominiums	• Warrantable Condominiums: Max 75% LTV • Limited review not available. • Non-Warrantable Condos and Condotels are ineligible. • Condominium leaseholds ineligible.
Rural Properties	• Primary Residence only • Max 70% LTV • Cash-Out is ineligible • See acreage below	
Appraisals	• A second appraisal required for loans > \$2,000,000 • Appraisal Review Product required on all loans with a FNMA SSR over 2.5 except for those with a full second appraisal	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Max LTV when the LTV is > 65%	
Acreage	• Max 10 acres on Primary Residence and Second Homes; 5 acres on Investment Properties	

FLEX SELECT

PRIMARY RESIDENCE				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type
760	2,000,000	90	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and non-Warrantable), Condotels Co-ops and 2-4 Units <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	85	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	80	75	
	2,000,000	80	75	
	2,500,000	75	70	
	3,000,000	70	65	
660	1,000,000	80	70	
	1,500,000	75	65	
	2,500,000	70	60	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type
760	2,000,000	85	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and Non- Warrantable), Co-ops, Condotels <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	80	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	75	70	
	2,000,000	75	70	
	2,500,000	70	65	
	3,000,000	65	60	
660	1,000,000	75	65	
	1,500,000	70	60	
	2,500,000	65	55	

INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	Max LTV Purchase / Rate & Term	Max LTV Cash-Out Refinance	Property Type
760	1,500,000	85	80	Single Family, PUD, Condominiums (Warrantable and non- Warrantable), Co-ops, Condotels and 2-4 Units <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	80	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	75	70	
	2,000,000	75	70	
	2,500,000	70	65	
	3,000,000	65	60	
660	1,000,000	75	65	
	1,500,000	70	60	
	2,500,000	65	55	

OVERVIEW

The Flex Select Program is designed to cover the widest range of income documentation types, housing history, and other program specific options.

GEOGRAPHIC RESTRICTIONS

DC	Investment Properties are ineligible,
FL	- Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. - Charlotte, Lee, Hendry, and Glades Counties: Investment Properties are ineligible, including DSCR.
HI	Eligible for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	- Cook County: all occupancies are ineligible. - Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
IN	Indianapolis: Investment Properties are ineligible.
MD	Baltimore City: all occupancies are ineligible.
NJ	Patterson: Investment Properties are ineligible.
NY	- NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Brooklyn: Investment Properties are ineligible, . - Orange County: all occupancies are ineligible. - No 5/6 ARMs on Investment Property loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	Lubbock: Investment Properties are ineligible

GENERAL REQUIREMENTS

Exceptions	Eligible except for P&L Only and Express DU
Product Type	40 Year Fixed, 30 Year Fixed, 15 Year Fixed 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 SOFR ARM, 30 Year Term – Fully Amortizing 5/6 SOFR ARM I/O, 30 Year Term and 40 Year Term 40 Year products and terms are ineligible for Manufactured Housing - I/O products are ineligible for Express (DU)
Interest Only (I/O)	- Min Credit Score: 680 - Max LTV: 80% - Max DTI 50% - Ineligible on Manufactured Housing
Loan Amounts	- Minimum: \$125,000 and Max \$3,500,000 - Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV
2-1 Buydown	- Purchase Only - Minimum Score 680 - Max LTV 80% - Max DTI 50% 30 Year Fixed Only - Qualify using Note Rate - Primary Residence, Second Home and Investment Properties - Seller or Builder Funded Only - Lender Paid or 3rd Party Buydowns are eligible for Correspondent Clients only
Occupancy	Primary Residence , Second Home, and Investment Property
Loan Purpose	Purchase, Rate & Term Refinance, Cash Out Refinance, and Debt Consolidation
Cash Out	- Minimum of six (6) months seasoning from most recent transaction. - Max cash-out (defined as cash in hand): - If LTV <= 60% = Unlimited - If LTV > 60% = Max \$1,000,000 or unlimited with 18 months reserves exclusive of cash back - Condos: Max 75% LTV - Condotel: See Condotels below for LTV limitations.
Interested Party Contributions	<u>Primary Residence and Second Homes:</u> <= 75% LTV = 9% > 75% = 6% <u>Investment</u> = 6%
Subordinate Financing	- Eligible on Primary Residence and Second Homes only - Eligible on Investment Properties only when used in conjunction with the Second Lien Select Program
Escrow Waivers	- Waiving escrows is eligible as follows: - O/O and 2nd Homes: 680 Minimum Score up to 80% LTV - Investment Properties: 660 Minimum Score up to 80% LTV - CA: with a Minimum score 700, waiver is permitted up to 90% LTV 0x30x12 housing/rental history - Non-HPML loan - Flood Insurance premiums for properties located in zones A or V must be escrowed. Note that it is permissible to waive taxes and insurance escrows in these instances when the above requirements are met and the loan is priced with an escrow waiver. In addition, elective flood policies are not required to be escrowed.
Prepayment Penalty	- Required when permitted on Investment Properties. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. - No PPP – eligible for Correspondent only
Age of Loan Documentation	- Credit: 120 days - Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Alien • Non-Permanent Resident Alien	<u>Ineligible:</u> • ITINs • DACA • Foreign Nationals • See Guide for full restrictions
Non-Occupant Co-Borrower	• Primary Residence only • Max DTI Total DTI 50% • Max 65% DTI for the occupying borrower • No Cash-Out Refi ; Rate & Term Refinance (non-occupant must be on current loan) • Non-occupant co-borrower must be a relative • Max Loan Amount \$1,000,000	
First Time Homebuyer (FTHB)	• Eligible to a max loan size of \$1,500,000 on Primary Residence, Second Homes, and Investment Properties	

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score 660 is required • The Representative Score is based on the primary wage earners credit score, qualify as follows: ○ Middle of 3 credit scores or lower of 2 credit scores ○ When qualifying income is equal for all borrowers on the loan, the highest representative score will be used. • Additional borrowers must have a minimum credit score of 600 • P&L Only: all borrowers must have a minimum credit score of 700
Tradelines	• When the primary borrower does not have 3 credit scores, the following minimum tradelines are required: ○ 2 open and reporting trades 24 months; or ○ 3 open and reporting trades 12 months; or ○ 24-months mortgage rating reporting on credit report ○ Spouses may combine trades
Housing History	• 1x30x12 maximum delinquency permitted per the matrix • 3x30x12 will be allowed when the following criteria is met: ○ Borrower must be 0x30 in the most recent 6 months, and ○ LTV must be reduced by 10% from the matrix.

Credit and Housing Event Seasoning Restrictions

Chapter 13: Use filing date if discharged; use dismissal date if dismissed

BK/FC/SS/DIL/Mod	>= 4 Years	>= 3 Years	>= 2 Years
Max LTV/CLTV	90%	80%	70%
Max LTV Cash Out	80%	75%	70%
Max Loan Amount	\$3,500,000	\$3,000,000	\$2,000,000

DTI AND RESIDUAL INCOME REQUIREMENTS

DTI Requirements	• Max 50% • 40 Year Fixed Must Qualify as a 30 Year at <= 55% DTI. • 55% DTI (>50% to 55%) with the following restrictions: ▪ Minimum credit score 680 ▪ Max 80% LTV ▪ 0x30x12 ▪ Interest-Only is ineligible ▪ Max loan amount \$2,500,000 ▪ 40 Year terms are ineligible ▪ 4 years seasoning for housing events required ▪ 2-1 Temporary Buydowns are ineligible ▪ Minimum monthly residual income of \$3,500 is required.
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Residual Income	• Applies to HPML loans or when the DTI > 43% on Primary Residence and Second Homes only • Defined as Gross Monthly Income less Total Monthly Obligations • Requirement based on # in household: ▪ 1 person = \$1,500 ▪ 2 people = \$2,500 ▪ Add \$150 per additional household member (related or unrelated)
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INCOME REQUIREMENTS

General Requirements

Self-Employment History	• Self-employment history of >=2 years is required. If self-employment history is < 2 years: ○ Self-employment 18+ months with 3+years prior experience in the same line of business ○ Self-employed borrowers in a licensed profession (i.e., Medical, Legal, Accounting) will be considered from a business that has been in existence for less than two (2) years, but greater than one (1) year provided the borrower meets the following requirements: ▪ Borrower has at least three (3) years of documented previous experience in the same profession, or ▪ Evidence of formal education in a related field, and ○ For both options above, the following restrictions apply: Minimum credit score: 700; Max LTV: 80% Primary Residence / 75% Second Home / 70% Investment Properties
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Full Documentation

Wage Earners	• 30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 Transcripts when electronic VOE not provided, and a fully executed and signed IRS Form-4506C
Self-Employment	• 1 or 2 years of personal and business Federal Tax Returns, YTD P&L, Tax Transcripts, 2 months of most recent bank statements to support the income on the P&L
Rental Income	• <u>Rental income on Tax Returns:</u> ○ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent years 'income will be used for qualifying ○ Cash flow Analysis of the Schedule E should be completed • <u>Rental Income NOT on Tax Returns:</u> ○ Evidence of borrower's ownership of the property ○ For a refinance and/or to document rental income on other REOs: ▪ Lease agreement ▪ Two months of bank statements demonstrating receipt of rental income. ▪ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source. ▪ 75% of the rental amount on the lease is used for qualifying • <u>Rental Income from a Departing Residence:</u> ○ 75% of the rental amount on the lease if used for qualifying. ○ Evidence the rental amount is at market rate, which can be documented through an online source or a 1007. • <u>Short Term Gross Rental Income:</u> ○ 12-month look back on rents received using bank statements or ○ Third party rental statements

Alt Doc - Income Requirements

Personal Bank Statements	• 12 or 24 months of personal and 2 months of business bank statements • Qualifying income is determined by the total eligible deposits from the 24 or 12 months of personal statements divided by the number of statements • The business bank statements must reflect business activity and transfers to the personal account
Business/Co-Mingled Bank Statements	• 12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ▪ Fixed Expense Ratio (50%); OR ▪ Expense ratio provided by a 3rd party (CPA/EA or PTIN) min ratio of 20%, OR ▪ 3rd party prepared Profit & Loss Statement (CPA/EA or PTIN) min ratio of 20%
P&L Plus 2 Months Bank Statements	• Max 80% LTV • 12 or 24 months P&L; prepared by CPA/EA or PTIN licensed tax preparer.

	• CPA/EA/PTIN licensed tax preparer must also attest to having prepared the borrower's most recent tax returns. • When evaluating the P&L, the expenses are expected to be at least 20% of gross revenue. In the event less than 20% is reflected in expenses, the net income will be adjusted to reflect a 20% expense level when qualifying. • Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L. • Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income. • Minimum of 2 months business bank statements. • The monthly gross revenue on the P&L must be supported by the bank statements.	
P&L Only	• Exceptions are ineligible. • Ineligible for borrowers with less than 2 years in the current business • Max Loan Amount \$1,500,000 • 700+ credit score required for all borrowers • Max LTV is the lesser of the LTV on the Program Matrix or: ○ 80% Primary Residence ○ 75% Second Home and Investment Properties • 12 or 24 months P&L prepared by CPA/EA or PTIN licensed tax preparer. • CPA/EA or PTIN licensed tax preparer must also attest to having prepared the borrower's most recent tax returns. • When evaluating the P&L, the expenses are expected to be at least 20% of gross revenue. In the event less than 20% is reflected in expenses, the net income will be adjusted to reflect a 20% expense level when qualifying. • Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L • Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income. • Verbal verification of P&L is required on wholesale transactions.	
IRS Form 1099	• 1 or 2 years IRS Form 1099 • Fixed Expense Ratio of 10%	• YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date
WVOE	• Maximum loan amount \$1,500,000 • Minimum credit score 680 for Primary Residence max 80% LTV; Second Home and Investment Property max 75% LTV • 0x30x12 housing history is required; borrowers without a housing history are ineligible • Family members or related individuals may not employ borrowers • W2s, Federal Tax Returns, Paystubs, 4506-C are not required • Borrowers may not have any other active source of income; passive income such as rental income may be included • Written Verification of Employment (WVOE) – FNMA 1005 completed with the past 2 years of income/employment. Form must be completed by Human Resources, Payroll, or an Officer of the Company: ○ Two (2) most recent months of bank statements supporting at least 65% of the gross wages reflected in the WVOE ○ Verification of delivery and receipt of the FNMA Form 1005 required • One-year history with the same employer with a minimum of two (2) years in the same line of work	
Asset Utilization	• Qualified Assets must be seasoned for 3 months. • Purchase/Rate & Term Refinance: ○ > 85%LTV eligible per the matrix provided when the DTI is <=60% without using assets for income • Cash-Out: follow LTV limits per matrix. • <u>Monthly Income Calculation:</u> ○ When the DTI without asset utilization is < = 60%: ▪ Monthly Income Calculation = Net Qualified Assets / 36 Months ○ When the DTI without Asset Utilization is > 60% or when the borrower's entire income is comprised of income from assets:	

Monthly Income Calculation = Net Qualified Assets / 60 Months

ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Large deposits (> 50% of gross income) must be documented on purchase transactions
Reserves	• <= \$500,000 = 3 months PITIA w/LTV <= 80% • <= \$500,000 = 6 months PITIA w/LTV > 80% • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,500,000 = 12 months PITIA • Cash Out proceeds may be used to satisfy reserves • When Asset Utilization is the sole source of income, reserves are not required
Gift Funds	• Gift funds are eligible provided borrower meets minimum contribution: ○ 5% primary ○ 10% Second Home and Investment Properties • 100% Gift Funds may be used for down payment and closing cost for Primary Residence and Second Home when the LTV U.S. <=to 80%. • For Investment Properties, gift funds are eligible after meeting the minimum 10% borrower contribution regardless of LTV. • Gift funds are ineligible for reserves. • Gift of Equity is eligible for Primary Residence only.

PROPERTY REQUIREMENTS

Property Types	Single Family, PUD, Townhouse (Attached/Detached)	• Single Family residences with 1 or more accessory dwelling units (ADU) are eligible if subject property is in a municipality that allows. • The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.	
	2-4 Units	• Max LTV is the lesser of the Matrix LTV or 85% • 2-4 units with 1 ADU are eligible if subject property is in a municipality that allows. • The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.	
	Condominium	• Warrantable / Non-Warrantable: ○ Purchase & Rate & Term Refinance: Max 85% LTV ○ Cash Out: 75% LTV • Limited Review <u>Established Condos Outside of Florida</u> (Warrantable) LTV/CLTV Limits where the building has 5+ units: ○ Primary Residence 85% ○ Second home and Investment Property 75% • Limited Review <u>Established Condos in Florida</u> (Warrantable) LTV/CLTV Limits: ○ Primary residence 75%/90% ○ Second home and Investment Properties: 70%/75% • Condominium leaseholds ineligible	
	Condotel	<u>Primary Residence</u> • Purchase or Rate & Term Refinance: ○ Lesser of Matrix LTV or Max 85% LTV • Cash-Out: ○ Lesser of Matrix LTV or Max 75%	<u>Second Home & Investment Property</u> • Purchase or Rate & Term Refinance: ○ 700+ credit score; lesser of Matrix LTV or Max 75%LTV ○ 680-699 credit score; lesser of Matrix LTV or Max 70% LTV • Cash Out Refinance: ○ 700+ credit score; lesser of Matrix LTV or Max 65% LTV ○ 680-699 credit score; lesser of Matrix LTV or Max 60% LTV

Property Types (Continued)		• Must have a full kitchen & a separate bedroom. • Must be in a resort area or affiliated with a national hotel chain • Max Loan Amount \$1,500,000
	Co-ops	• Eligible for the Delegated Correspondent Channel ONLY • Correspondent Clients must use their own Closing Plan Codes ◦ Available in New York City - 5 Boroughs ONLY: Bronx, Brooklyn, Manhattan, Queens & Staten Island • Max 80% LTV
	Manufactured Housing	• Eligible for the Delegated Correspondent Channel ONLY • Correspondent Clients must use their own Closing Plan Codes. • Requirements: ◦ Min 20' wide (Double-wide), min 750+ sq ft, must meet "HUD Code" including being built on a permanent chassis, installed on a permanent foundation, and title as real estate ◦ May not be older than 15 years ◦ May not be if in need of repairs (as per the appraisal) of more than 5% of the property value • Eligible Transactions: ◦ Cash Out is ineligible, Primary Residence and Second Home only, minimum credit score 680, Max 80% LTV ◦ Investment property and Interest Only loans are ineligible
Rural Properties	• Rural properties are eligible for Primary Residence up to 80% LTV; max 20 acres • Second home and Investment Properties may be considered when the subject has <= 2 acres up to a max LTV of 75%	
Appraisals	• Second appraisal required for loans > \$2,000,000 • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5, except for those with a full second appraisal	
Declining Markets	• As identified by the appraiser, require a 5% LTV reduction off the matrix when > 65% LTV	
Acreage	• Max 20 acres Primary Residence & Second Home; max 5 acres Investment Properties	

EXPRESS (DU) - REQUIREMENTS

Express (DU)

Follow Flex Select where silent in this section.

Underwriting Method	• FNMA DU only • Ineligible for ITIN, P&L Only and less than 2 years of self-employment history in the same business. Eligible DU Findings – Approve/Eligible and Approve/Ineligible. ◦ Ineligible results are only eligible for items such as loan size, LTV limits, loan purpose or feature. ◦ DU cannot be ineligible for a credit event or due to risk factors. • Credit score used to qualify is the credit score from the primary borrower • Extenuating circumstances for derogatory credit are ineligible, i.e., cannot instruct DU to disregard information on credit report(s) to receive an Approve/Eligible • Seller negotiated criteria/variances with FNMA are ineligible • Non -Delegated Correspondents are responsible for providing the DU Findings with the loan submission and must match the final terms of the loan.
LTV/Score Eligibility	• 740-759 credit scores are ineligible for loans with LTV > 85% ; follow standard program requirements
Max Loan Amount & LTV	• Max Loan Amount = \$2,000,000 for LTVs <= 85% • Max Loan Amount = \$1,500,000 for LTVs > 85% • Minimum 760 credit score for LTVs > 85% • First time homebuyer max loan amount \$1,500,000
Interest-Only	• Ineligible
Exceptions	• Ineligible
ITIN	• Ineligible
Non-Occupant Co-Borrower	• Primary Residence only • Purchase and Rate & Term Refinance only (non-occupant must be on the current mortgage for a Rate & Term Refinance refinance)

	• Non-occupant co-borrower must be a relative • Max 90% LTV • The occupying borrower and non-occupant co-borrower ratios may be blended to a max of 50% DTI • Max loan amount \$1,000,000 • Use the primary borrower's credit score, whether it be the occupant or the non-occupying co-borrower
Credit/Housing Events	• Follow AUS except for housing history must be 0x30x12 and no extenuating circumstances for Bankruptcy or Housing Event
Housing History	• 0x30x12 • DU may waive the requirements for a rental history on certain DU casefiles; documentation is still required to support a 0x30x12 history. It is permissible to allow the waiver of cancelled checks for private party VORs when eligible per DU.
Income	• Max DTI: 50% • Follow program documentation requirements • Follow program DTI restrictions • Transcripts required for the number of years of income used to qualify on Full Doc loans • P&L Only is ineligible • Self-employment < 2 years is ineligible
Reserves	• LTVs > 85%: ○ Up to \$1,500,000 with 760+ credit score = 6 months PITIA • LTV <= 85%: ○ Loans <= \$2,000,000 follow DU Findings ○ Loans > \$2,000,000 must meet product reserve requirements
Appraisal	• Reduced Condo Reviews are ineligible. • Appraisal waivers (PIW) are ineligible.

SELECT ITIN

PRIMARY RESIDENCE					
Credit Score	Max Loan Amount	Max LTV Purchase & Rate/Term		Max LTV Cash-Out Refinance	Property Type
		Full Doc	Alt Doc	Full / ALT Doc	
740	1,500,000	85	80	80	Single Family , PUD, Warrantable and Non-Warrantable Condominiums
	2,000,000	80	80	80	
	2,500,000	75	75	70	
720	1,500,000	85	80	80	
	2,000,000	80	80	75	
	2,500,000	60	60	60	
700	1,500,000	85	80	80	
	2,000,000	70	70	70	
680	1,500,000	80	80	75	
660	1,500,000	75	75	65	
720	1,500,000	80	80	75	2-4 Units
	2,000,000	75	75	60	
700	1,500,000	80	80	70	
	2,000,000	70	70	60	
680	1,500,000	75	75	70	
SECOND HOME					
Credit Score	Max Loan Amount	Max LTV Purchase / Rate & Term		Max LTVCash-Out Refinance	Property Type
720	1,500,000	75		70	Single Family , PUD, Warrantable and Non-Warrantable Condominiums
	2,000,000	75		60	
700	1,500,000	75		70	
	2,000,000	70		60	
680	1,500,000	70		60	
INVESTMENT PROPERTY					
Credit Score	Max Loan Amount	Max LTV Purchase / Rate & Term		Max LTVCash-Out Refinance	Property Type
700	1,500,000	75		70	Single Family, PUD Warrantable and Non-Warrantable Condominiums, 2-4 Units
	2,000,000	75		70	
	2,500,000	70		65	
680	1,500,000	70		65	

OVERVIEW

The Select ITIN Program is designed specifically for the ITIN borrower (including DACA) to provide financing solutions for this specific group of borrowers.

GEOGRAPHIC RESTRICTIONS

DC	• Investment Properties are ineligible.
FL	• Charlotte, Lee, Hendry, and Glades Counties: Investment Properties are ineligible, including DSCR.
HI	• Permitted for Delegated Correspondents only. Ineligible for Non-Delegates Correspondents and Wholesale.
IL	• Cook County: all occupancies are ineligible. • Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.

IN	Indianapolis: Investment Properties are ineligible.
MD	Baltimore City: all occupancies are ineligible.
NJ	Patterson: Investment Properties are ineligible.
NY	- has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Brooklyn: Investment Properties are ineligible. - Orange County: all occupancies are ineligible. - No 5/6 ARMs on Investment Property loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	Lubbock: Investment Properties are ineligible.

GENERAL REQUIREMENTS

Exceptions	Eligible
Product Type	15 Year Fixed, 30 Year Fixed, Fully Amortizing 30 Year Fixed I/O (10 Year I/O period, and remaining term fully amortizing) 5/6 SOFR ARM 30 Year Term – Fully Amortizing 5/6 SOFR ARM I/O - 30 Year Term - Interest Only Products listed above: Qualify using fully amortized payment.
Interest Only	- Min Credit Score: 680 - Max LTV: 80%
Loan Amounts	- Minimum: \$125,000 and Max \$2,500,000 - Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV
2- 1 Buydown	- Purchase Only - Full Doc and Bank Statement Only - Minimum Credit Score 680 - Max LTV 80% - Max DTI 50% 30 Year Fixed Only - Qualify using Note Rate - Primary Residence, Second Home and Investment Properties. - Seller or Builder Funded Only - Lender Paid or 3rd Party Buydowns are eligible for Correspondent Clients only.
Occupancy	Primary, Second Home; and Investment Property
Loan Purpose	Purchase, Rate & Term Refinance, and Cash Out Refinance
Cash Out	- Minimum of six (6) months seasoning from most recent mortgage transaction. - Max cash-out (defined as cash in hand): - If LTV <= 60% = Unlimited - If LTV > 60% = Max \$1,000,000 - Condos – Max 75% LTV
Interested Party Contributions	<u>Primary Residence and Second Homes:</u> <= 75% LTV = 9% > 75% = 6% <u>Investment:</u> ALL = 6%
Subordinate Financing	Ineligible
Escrow Waivers	Ineligible
Prepayment Penalty	- Required on Investment Properties when permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. - No PPP – Correspondent Only
Age of Loan Documentation	- Credit: 120 days - Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • ITIN must be valid and at least 2 years consistent ITIN payments reporting to the IRS is required. This can be validated with the borrower's current ITIN # along with a 2 year employment history • Multiple borrowers - one borrower must have ITIN • DACA is eligible with ITIN / SSN with Valid U.S. driver's license along with EAD card evidencing their DACA status	<u>Ineligible:</u> • Irrevocable or Blind Trust • Inter-Vivos Revocable Trust • Entity Vesting • See Guide for full restrictions
Borrower Documentation Requirements	• Government photo ID from U.S. or eligible country of origin ◦ Examples include Government license, passport, matricular consular, etc. A Visa is not required in addition to the above for an ITIN borrower • ITIN card or letter from the IRS ◦ ITIN is required to be assigned to the borrower prior to application • All documentation in the file must support the borrower's ITIN number and cannot reference a complete Social Security Number belonging to another individual • Evidence of unexpired ITIN can be accomplished as follows: ◦ Full Doc/1099 loans: Current executed transcripts will validate the borrower's current ITIN status • Alt Doc loans: Provide one of the following: ◦ IRS letter dated within the last 3 years ◦ Fully executed W7, including agent's signature ◦ Letter from licensed tax preparer confirming they have filed the borrower's most recent Federal Tax Return	
Non-Occupant Co-Borrower	• Primary Residence Only • Rate & Term Refinance Refi (non-occupant co-borrower must be on current loan) • Max Total DTI 50% (Max 65% DTI for Occupying Borrower) • Non-occupant co-borrower must be a relative • Max Loan Amount \$1,000,000	
First Time Homebuyer (FTHB)	• Eligible to a maximum loan size of \$1,500,000 on Primary Residence, Second Home and Investment Properties	

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score 660 for primary borrower • Additional borrowers must have a minimum credit score of 600 • When qualifying income is equal for all borrowers on the loan, the highest representative score will be used. • A minimum of 2 credit scores is required: ◦ 1 credit score is eligible when the credit report has sufficient tradeline activity, defined below in the Tradelines section • The Representative Credit Score is based on the primary borrowers' credit score; qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores ◦ 1 credit score, use as the Representative Credit Score	
Tradelines	• When the primary borrower does not have 3 credit scores, the following minimum tradelines are required: ◦ 3 trades reporting for 12+ months, OR ◦ 2 trades reporting for 24+ months, OR ◦ 2 year mortgage history • Spouses may combine trades	
Non-Traditional Credit	• If the borrower is unable to meet the above requirements, borrower may qualify using Non-Traditional Credit as defined below: ◦ A minimum of 2 credit scores is required ◦ Loan amount < = \$1,500,000 ◦ The credit history must include 3 credit references covering the most recent 12 months from the date of application, supported with cancelled checks or bank statements. ◦ Acceptable tradelines may be mortgage/rental verification; utilities such as electricity, gas, water,	

	telephone service, television, and internet service providers. If utilities are included in the rental housing payment, they cannot be considered a separate source of nontraditional credit. It is permissible to combine trades from the credit report with non-traditional credit to meet the tradeline requirement.
Housing History	0x30x12
Housing / Credit Events	4 years seasoning is required - Chapter 13: use filing date if discharged; use dismissal date if dismissed

DTI AND RESIDUAL INCOME REQUIREMENTS

Max DTI	Max 50%
Residual Income	- Requirement based on # in household - Defined as Gross Monthly Income less Total Monthly Obligations - Applies to HPML loans or when the DTI > 43% on Primary Residence and Second Homes only: 1 person = \$1,500 2 people = \$2,500 - Add \$150 per additional household member (related or unrelated)

INCOME REQUIREMENTS

Full Doc Income Requirements	
Wage Earners	- Fully written verification of employment, signed IRS Form-4506C and 1 or 2 years Tax Transcripts - Providing documentation with a complete Social Security Number not belonging to the borrower will render the file ineligible for purchase.
Self-Employment	1 or 2 years 1040s plus Tax Transcripts, YTD P&L, plus 2 months bank statements, K-1s and Schedule E for all business entities prior 1-2 years if >=25% ownership
Rental Income	<u>Rental Income on Tax Returns:</u> - When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying - Cash flow Analysis of the Schedule E should be completed <u>Rental Income NOT on Tax Returns:</u> - Evidence of borrower's ownership of the property - For a refinance and/or to document rental income on other REOs: - Lease agreement - Two months of bank statements demonstrating receipt of rental income. - Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source - Primary Residence and Second Homes: Add 75% of gross rent to borrowers qualifying income - Investment property: Income used to qualify is 75% of the lesser of documented rent or market rent per appraisal <u>Rental from Departing Primary Residence</u> is eligible as follows: 75% of the rental income on the lease if used for qualifying. - Evidence the rental amount is at market rate through 1007/1025 or an online source. <u>Short Term Gross Rental Income:</u> 12-month look back on rents received using bank statements or third party rental statements
Alt Doc Income Requirements	
Personal Bank Statements	12 or 24 months of personal and 2 months of business bank statements. The business bank statements must reflect business activity and transfers to the personal account - Qualifying income is determined by the total eligible deposits from the 24 or 12 months of personal statements divided by the number of statements
Business Bank Statements	12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: - Fixed Expense Ratio (50%); OR - Expense ratio provided by a 3rd party (CPA/EA or PTIN) min ratio of 20%, OR 3rd party prepared Profit & Loss Statement (CPA/EA or PTIN) min ratio of 20%
IRS Form 1099	1 or 2 years 1099 - Fixed Expense Ratio of 10% - YTD Documentation to support continued receipt of income from same source, is required only when

	the most recent 1099 is >90 days from the note date
Asset Utilization	• May be combined with Full Doc Income as primary source of income up to 85% LTV • Qualified Assets must be seasoned for 3 months • Monthly Income Calculation = Net Qualified Assets / 60 months

ASSETS AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Deposits > 50% of gross income must be documented on purchases
Reserves	• ≤ \$500,000 = 3 months PITIA w/LTV ≤ 80% • ≤ \$500,000 = 6 months PITIA w/LTV > 80% • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • Cash Out proceeds may be used to satisfy reserves. • When Asset Utilization is the sole source of income, reserves are not required.
Gift Funds	• Gift funds are eligible provided borrower meets minimum contribution: ◦ 5% primary ◦ 10% Second Homes and Investment Properties • 100% gift funds may be used for down payment and closing costs on a Primary Residence or Second Home when the LTV is ≤ 75%. • Gift funds are ineligible for reserves. • Gift of Equity is eligible for Primary Residence transactions only.

PROPERTY REQUIREMENTS

Property Type	Single Family, PUD or Townhouse (Attached or Detached)	• Single Family, PUD or Townhouse: ◦ Purchase: Max 85% LTV for Primary only ◦ Rate & Term Refinance: Max 85% LTV • Single Family residences with 1 or more accessory dwelling units (ADU) are eligible if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.
	Condominiums	• Condos – Non-Warrantable: ◦ Max LTV is the lesser of the Matrix LTV or 75% LTV • Purchase and Rate & Term Refinance: ◦ Primary Residence = Max LTV 75% ◦ Second Homes & Investment Property = Max LTV 70% ◦ Condos – Warrantable: Outside of Florida, Max 80% LTV ◦ Limited Review Condos: Max 75% LTV • Condominium leaseholds are ineligible
	2-4 Units	• 2-4 Units: Max 80% LTV • 2-4 units with 1 ADU are eligible if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.
Rural Properties	• Rural properties are eligible for Primary Residence up to 80% LTV; max 20 acres. • Second home and Investment Properties may be considered when the subject has ≤ 2 acres up to a max LTV of 75%.	
Appraisals	• Second appraisal required for loans > \$2,000,000. • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5, except for those with a full second appraisal.	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Program Matrix Max LTV when > 65% LTV.	
Acreage	• Max 20 acres for Primary Residence & Second Home; Max 5 acres Investment Properties .	

SUPER JUMBO

PRIMARY RESIDENCE					
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase	Max LTV/CLTV Rate & Term	Mx LTV/CLTV Cash-Out	Property
740	\$3,500,001 - \$4,000,000	70	70	60	SFR, PUD, Warrantable & Non-Warrantable Condo
720		65	65	55	
740	\$4,000,001 - \$4,500,000	65	65	55	
720		60	60	50	
740	\$4,500,001 - \$5,000,000	65	65	55	
720		60	60	50	

OVERVIEW

The Super Jumbo Program is a specialty program for high-net-worth borrowers with solid and stable income and credit, as well as considerable assets to cover down payment, closing costs and reserves

All loans must be approved by the NQM Funding, LLC. Credit Committee.

GEOGRAPHIC RESTRICTIONS

FL	Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible.
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	- Cook County: all occupancies are ineligible. - Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
MD	Baltimore City: all occupancies are ineligible.
NY	- NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Orange County: all occupancies are ineligible.

GENERAL REQUIREMENTS

Exceptions	Ineligible
Product Type	30 Year Fixed Fully Amortizing 40 Year Fixed IO (10 year I/O period, and remaining term fully amortizing)
Interest Only	Eligible with no additional requirements
Loan Amounts	Min \$3,500,001 – Max \$5,000,000
2-1 Buydown	Ineligible
Occupancy	Primary Residence only
Loan Purpose	Purchase, Rate & Term Refinance and Cash-Out
Cash-Out	- Max cash-out: \$1,500,000 - Cash Out proceeds may not be used to meet reserves
Interested Party Contributions	6%
Subordinate Financing	Ineligible
Escrow Waivers	Ineligible
Prepayment Penalty	Ineligible
Age of Loan Documentation	- Credit: 120 days - Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Aliens (U.S. credit only)	<u>Ineligible:</u> • ITIN • DACA • Foreign Nationals • See Guide for full restrictions
Non-Occupant Co-Borrower	• Ineligible	
First Time Homebuyer (FTHB)	• Ineligible	

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score 720 for all borrowers • The Representative Score is based on the primary wage earners credit score, qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores ◦ When qualifying income is equal for all borrowers on the loan, the highest representative score will be used.
Tradelines	• Tradeline requirements are not waived when the Primary borrower has 3 credit scores • Each borrower must meet the following minimum tradeline requirements: ◦ Min 2 open & reporting 24 months; OR ◦ 3 open and reporting 12 months; OR ◦ 24-months mortgage rating reporting on credit
Housing History	• 0x30x24
Credit / Housing Events	• 4 years seasoning required • Chapter 13: use filing date if discharged; use dismissal date if dismissed

DTI AND RESIDUAL INCOME REQUIREMENTS

Max DTI	• Max 38%
Residual Income	• Not required

INCOME REQUIREMENTS

Overall Income Requirements	
Self- Employment	• Borrower must have 2 years in the current business
Full Doc - Income Requirements	
Wage Earners	• 30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 transcripts when electronic VOE not provided, and a fully executed and signed IRS Form-4506C
Self-Employment	• Self-Employed: 1 or 2 Years of Personal and Business Federal Tax Returns, Year to date P&L, Tax Transcripts, 2 months of most recent bank statements
Rental Income	• <u>Rental income on Tax Returns:</u> ◦ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying ◦ Cash flow Analysis of the Schedule E should be completed. • <u>Rental Income NOT on Tax Returns:</u> ◦ Evidence of borrower's ownership of the property ◦ For a refinance and/or to document rental income on other REOs ◦ Lease agreement ◦ Two months of bank statements demonstrating receipt of rental income. ◦ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source ◦ 75% of the rental amount on the lease is used for qualifying • Rental from Departing Primary Residence: Eligible per Guide.
Alt Doc - Income Requirements	
Personal Bank Statements	• 24 months of personal and 2 months of business bank statements • Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements

	The business bank statements must reflect business activity and transfers to the personal account
Business/Co-Mingled Bank Statements	24 months of business bank statements - Qualifying income is determined by ONE of the following analysis methods: - Fixed Expense Ratio (50%); OR - Expense Ratio provided by a 3rd party (CPA/EA or PTIN tax preparer, min ratio of 20%, OR 3rd party prepared Profit & Loss Statement (CPA/EA or PTIN tax preparer) min ratio of 20%
Asset Utilization	- Eligible as sole source of income only - Assets must be seasoned for 3 months - Monthly Income Calculation = Net Qualified Assets /84 Months

ASSET AND RESERVE REQUIREMENTS

Assets	30-day asset verification required
Reserves	> \$3,500,000 to \$4,000,000: 12 months min PITIA reserves > \$4,000,000 to \$5,000,000: 18 months min PITIA reserves - Cash-Out proceeds may not be used to meet reserves
Gift Funds	Eligible after 20% minimum borrower contribution towards down payment, closing costs, prepaids; and reserves must be met with Borrower's own funds

PROPERTY REQUIREMENTS

Property Types	Single Family 1-Unit, PUD, Townhouse (Attached/ Detached)	- Single Family residences may have a max of 1 accessory dwelling unit (ADU)) are permitted if subject property is in a municipality that allows. - The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.
	Condo (Warrantable/ Non-Warrantable)	- Eligible without additional restrictions - Condominium leaseholds are ineligible
Rural Properties	Ineligible	
Appraisal Requirements	Two (2) Full Appraisals (interior/exterior)	
Declining Markets	- Purchase and Rate & Term Refinance: the lesser of matrix LTV or max 65%. - Cash-Out: the lesser of matrix LTV or max 55%	
Acreage	Max 2 acres	

SECOND LIEN SELECT (DELEGATED ONLY)

PRIMARY				
Min Credit Score	Max Loan Amount	MAX CLTV	MAX Combined Lien Balance	Property Type
720	Up to \$350,000	85	\$3,000,000	Single Family, PUD, Condominiums (Warrantable)
	\$500,000	85	\$3,000,000	
	\$750,000	80	\$3,500,000	
	\$1,000,000	75	\$4,000,000	
700	Up to \$350,000	85	\$3,000,000	
	\$500,000	85	\$3,000,000	
	\$750,000	80	\$3,500,000	
SECOND HOME				
Min Credit Score	Max Loan Amount	MAX CLTV	MAX Combined Lien Balance	Property Type
720	Up to \$350,000	80	\$3,500,000	Single Family, PUD, Condominiums (Warrantable)
	\$500,000	80	\$3,500,000	
	\$750,000	75	\$4,000,000	
	\$1,000,000	70	\$4,000,000	
700	Up to \$350,000	80	\$3,500,000	
	\$500,000	80	\$3,500,000	
	\$750,000	70	\$4,000,000	
INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	MAX CLTV	MAX Combined Lien Balance	Property Type
720	Up to \$350,000	80	\$3,500,000	Single Family, PUD, Condominiums (Warrantable)
	\$500,000	80	\$3,500,000	
	\$750,000	75	\$4,000,000	
	\$1,000,000	65	\$4,000,000	
700	Up to \$350,000	80	\$3,500,000	
	\$500,000	80	\$3,500,000	
	\$750,000	70	\$4,000,000	
DSCR – INVESTMENT (BUSINESS PURPOSE ONLY)				
Min Credit Score	Max Loan Amount	MAX CLTV	MAX Combined Lien Balance	Property Type
720	Up to \$350,000	75	\$3,000,000	Single Family, PUD, Condominiums (Warrantable)
	\$500,000	75	\$3,000,000	
	\$750,000	70	\$3,500,000	
	\$1,000,000	60	\$3,500,000	
700	Up to \$350,000	75	\$2,500,000	
	\$500,000	70	\$3,000,000	
	\$750,000	65	\$3,000,000	

OVERVIEW

The Second Lien Select Program is designed to cover a range of income documentation options for the borrower with closed end second lien needs.

GEOGRAPHIC RESTRICTIONS

FL	• Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible.
IL	• Cook County: all occupancies are ineligible.
MD	• Baltimore City: all occupancies are ineligible.
MS	• Ineligible.

GENERAL REQUIREMENTS

Exceptions	• Ineligible
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Compliance	• No Section 32 or High Cost • Loans must comply with all applicable federal and state regulations • Fully documented ATR • Higher-Priced Mortgage Loans (HPML) and Higher-Priced Covered Transactions (HPCT) are permitted, subject to complying with all applicable regulatory requirements	
Product Type	• 15, 20, 25 and 30-Yr Fixed Fully Amortizing • Lien Position must be 2nd only	
Loan Type	• Stand Alone • Piggyback	
Interest Only	• Ineligible	
Loan Amounts	• Min \$50,000 and Max \$1,000,000	
2-1 Buydown	• Ineligible	
Occupancy	• Primary, Second Homes, and Investment Properties	
Loan Purpose	• Purchase, Refinance of existing 2nd lien • Cash-Out (Cash-in Hand) Reduce CLTV by 5% • Piggyback Purchase can be combined with new 1st lien mortgage for purchase only ○ Follow guidelines for Flex Select, or for DSCR use Investor DSCR.	
Senior Lien Eligibility	• 1st Lien with a Stand Alone 2nd - qualifying using a 1st Lien Interest Only payment to a max of 45% • 1st Lien ARMS < 3 years fixed period remaining to be qualified using fully indexed payment	• Ineligible: ○ Loans in active forbearance or deferment ○ Negative Amortization ○ Reverse Mortgage ○ Balloon Loans where balloon payment is due during amortization period of 2nd lien. ○ Private Party Mortgages ○ Mortgage not reported on credit report ○ 1st Lien underwritten via DU or LP
Seasoning Requirement (Stand Alone)	• > 6 months ownership seasoning with no restrictions	• Ineligible Stand Alone: ○ Properties owned less than 6 months ○ Properties listed for sale in the last 6 months
Interested Party Contributions	• Stand Alone: Ineligible • Piggyback: ○ Primary and 2nd Homes: ▪ ≤ 75% LTV = 9% ▪ > 75% = 6% ○ Investment: ALL = 6%	
Escrow Waiver	• N/A	
Prepayment Penalty	• Required where permitted for investment properties. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.	
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days	

BORROWER ELIGIBILITY

Borrower Eligibility	Eligible: • US Citizens • Permanent Resident Aliens • Non-Permanent Resident (U.S. Credit Only)	Ineligible: • ITINs • Foreign Nationals • Non-Occupant Co-Borrower(s) • DACA • See Guide for full restrictions
First Time Home Buyers	• Eligible for Piggyback • Ineligible for DSCR	

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score 700 is required.
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	• Piggyback: Defer to 1st Lien Requirements unless more restrictive in this Program. • Stand Alone: (Non-DSCR): ○ The Representative Score is based on the primary wage earners (or primary borrower for Asset Utilization) credit score, qualify as follows: ▪ Middle of 3 credit scores or lower of two scores ▪ When qualifying income is equal for all borrowers on the loan, the highest Representative Score will be used. ○ Additional borrowers must have a minimum credit score of 600 • Stand Alone: (DSCR): ○ The Representative Score is the lowest middle score of all borrowers
Tradelines	• Piggyback: Defer to 1st Lien Requirements unless more restrictive in this Program. • Stand Alone: ○ Tradeline requirements are not waived when the Primary has 3 credit scores. ○ Each borrower must have a minimum of 3 traditional tradelines rated for at least 12 months, OR 2 trades reporting for 24+ months, OR 24-month mortgage history reporting on credit. ○ Trades must reflect an acceptable payment history to be considered. ○ Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable (provided it was closed in the last 12 months). ○ Deferred accounts (w/o payment history) cannot be used to meet the min requirement. ○ Borrowers who do not meet the requirements above are ineligible
Housing History	• 0x30x12 on all mortgages for all borrowers. • Minimum 12 months of housing history required. • Rent Free ineligible. • First Time Homebuyer (FTHB) 0x30x24 VOR from an institutional / management company. Private party VOR is not eligible.
Credit / Housing Events	• Minimum 4 years must have elapsed from the date of the credit event. No multiple events in the last 7 years • Chapter 13: use filing date if discharged; use dismissal date if dismissed • First Time Homebuyer (FTHB) requires ≥ 7 years seasoning from the completion date of a significant derogatory credit event.

DTI RESIDUAL INCOME REQUIREMENTS (NON-DSCR)

Max DTI	• 50%
Residual Income	• Defined as Gross Monthly Income – Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI > 43%: ○ 1 person = \$1,500 ○ 2 people = \$2,500 ○ Add \$150 per additional household member.

INCOME REQUIREMENTS (NON-DSCR)

General Requirements

Self-Employment History	• Self-employment history of ≥ 2 years is required. If self-employment history is < 2 years: ○ Self-employment 18+ months with 3+years prior experience in the same line of business ○ Self-employed borrowers in a licensed profession (i.e., Medical, Legal, Accounting) will be considered from a business that has been in existence for less than two (2) years, but greater than one (1) year provided the borrower meets the following requirements: ▪ Borrower has at least three (3) years of documented previous experience in the same profession, or ▪ Evidence of formal education in a related field ○ For both options above, the following restrictions apply: Minimum credit score: 700; Max LTV: 80% Primary Residence / 75% Second Home / 70% Investment Properties
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Full Documentation

Wage Earners	• 30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 Transcripts when electronic VOE not provided, and a fully executed and signed IRS Form-4506C
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Self-Employment	• 1 or 2 years of personal and business Federal Tax Returns, YTD P&L, Tax Transcripts , 2 months of most recent bank statements to support the income on the P&L.
Rental Income	• <u>Rental Income on Tax Returns:</u> ○ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying ○ Cash flow Analysis of the Schedule E should be completed • <u>Rental Income NOT on Tax Returns:</u> ○ Evidence of borrower's ownership of the property ○ For a refinance and/or to document rental income on other REOs: ▪ Lease agreement ▪ Two months of bank statements demonstrating receipt of rental income. ▪ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source ▪ Primary Residence and Second Homes: Add 75% of gross rent to borrowers qualifying income ▪ Investment property: Income used to qualify is 75% of the lesser of documented rent or market rent per appraisal • <u>Rental from Departing Primary Residence</u> is eligible as follows: ○ 75% of the rental income on the lease if used for qualifying. ○ Evidence the rental amount is at market rate through 1007/1025 or an online source. • <u>Short Term Gross Rental Income:</u> ○ 12-month look back on rents received using bank statements or third party rental statements
Alt Doc – Income Requirements	
Personal Bank Statements	• 12 or 24 months of Personal and 2 months of business bank statements. • Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements. • The business bank statements must reflect business activity and transfers to the personal account. • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history.
Business/Co-Mingled Bank Statements:	• 12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%) OR ○ Expense ratio provided by a 3rd party (CPA/EA or PTIN tax preparer) min ratio of 20% OR ○ 3rd party prepared Profit & Loss Statement (CPA/EA or PTIN tax preparer) min ratio of 20% • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history.
P&L Plus 2 months Bank Statements	• Reduce CLTV on the matrix by 5%. • 12 or 24 months P&L; prepared by CPA/EA or PTIN licensed tax preparer. • CPA/EA/PTIN licensed tax preparer must also attest to having prepared the borrower's most recent tax returns. • When evaluating the P&L, the expenses are expected to be at least 20% of gross revenue. In the event less than 20% is reflected in expenses, the net income will be adjusted to reflect a 20% expense level when qualifying. • Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L. • Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income. • Minimum of 2 months business bank statements. • The monthly gross revenue on the P&L must be supported by the bank statements.
IRS Form 1099	• 1 or 2 years IRS Form 1099 • Fixed Expense Ratio of 10% • YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date
Asset Utilization	• Reduce CLTV by 5% • Qualified Assets must be seasoned for 3 months. • Purchase/Rate & Term Refinance:

	○ > 85%LTV eligible per the matrix provided when the DTI is <=60% without using assets for income ● Cash-Out: follow LTV limits per matrix. ● Monthly Income Calculation: ○ When the DTI without asset utilization is < = 60%: ▪ Monthly Income Calculation = Net Qualified Assets / 36 Months ○ When the DTI without Asset Utilization is > 60% or when the borrower's entire income is comprised of income from assets: ▪ Monthly Income Calculation = Net Qualified Assets / 60 Months
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DSCR & RENTAL INCOME REQUIREMENTS

DSCR Ratio	● Minimum 1.00 ● Short term rental minimum 1.15 (eligible on rate & term refinance only) ● Debt-Service Coverage Ratio = Gross Rental Income / PITIA
Lease and Occupancy Requirements	General Requirements: ● For all purchase transactions, it is acceptable for property to be vacant; gross market rents from the 1007 / 1025 will be used. ○ If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease ● All refinance transactions require the property to be leased/occupied except for: ○ Properties leased through short term rental agencies; or ○ Properties that have been recently rehabbed and are currently listed for; or ○ Delayed Financing. ● Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member.
Short Term Rentals (STR)	Short Term Rentals: ● Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. ● Min DSCR >= 1.15 ● Max LTV: Lesser of 75% or the Matrix LTV/CLTV ● Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs. ● 1007/1025 or Alternative Short Term Rental Analysis developed by an AMC is required, regardless of how the STR income is computed. Short Term Gross Rental Income Options: ● 1007/1025 or ● Alternative Short Term Rent Analysis form developed by an AMC or ● 12-month look back on rents received using bank statements or third party rental statements. ● When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents. Geographic Restrictions: ● Not permitted in the five (5) New York City Boroughs.
Long Term Rentals	<u>Monthly gross rents are calculated as follows:</u> ● If using the lesser of market rents or the lease, nothing further is required. ● If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120%. ● If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%. Refinance: ● FNMA 1007/1025 required, along with one (1) of the following: ○ Executed lease with no less than 1 month remaining at time of closing for all units in the subject property.

	- Month-to-month tenancy is not subject to this requirement with sufficient evidence (such as a signed extension letter, bank statements to support deposits, or 1007/1025, which includes a review of the current lease confirming month-to-month). - Evidence property is listed for rent for delayed financing and/or recently renovated properties.
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ASSET AND RESERVE REQUIREMENTS

Assets	- Stand Alone: 30 day asset verification required. - Piggyback: defer to 1st lien assets / documentation must be included in 2nd lien file. - Foreign Assets are ineligible.
Reserves	<= \$500,000 = 3 months PITIA > \$500,000 to \$1,000,000 = 6 months PITIA - Cash-out proceeds may be used to satisfy reserves.
Gift Funds	Ineligible

PROPERTY REQUIREMENTS

Property Type	Single Family, PUD, Townhouse (Attached/Detached)	- Single Family residences with 1 or more accessory dwelling units (ADU) are eligible if subject property is in a municipality that allows. - The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.
	2-4 Units	- Max CLTV 70% 2-4 units with 1 ADU are eligible if subject property is in a municipality that allows. - The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.
	Condos	Warrantable Condominiums. Max CLTV 75% Primary Residence , 70% Second Homes & Investment Properties
	Acres	- Max 10 acres Primary Residence & Second Homes - Max 5 Acres Investment Properties - Max 2 Acres DSCR
	Rural Properties	- Rural properties are eligible for Primary Residence up to 80% CLTV - Second home and Investment Properties may be considered when the subject has <= 2 acres up to a max LTV of 75% - DSCR ineligible - Cash-Out ineligible
	Leasehold	Leasehold ineligible
Appraisals	Piggyback: - Full Appraisal and an appraisal review product on all loans with a FNMA SSR over 2.5 except those with a full second appraisal covering both the first and second lien. 2nd full appraisal for Combined Lien Balance > \$2,000,000 - Appraisal waivers from any underlying DU or LP 1st lien are ineligible.	
	Stand Alone: >= \$400,000 - Full Appraisal (FNMA Form 1004, 1025, 1073) with interior/exterior inspection < \$400,000 - A Property Condition Inspection Report and an AVM with a 92% Confidence Factor from Clear Capital, Collateral Analytics, CoreLogic, House Canary, or Veros. - If the AVM does not meet these requirements a Full Appraisal is required DSCR Only: - C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance 1007/1025 or Short Term Rental Analysis developed by the AMC is required.	
Declining Markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction or a max of 75% CLTV, whichever is less.	

DSCR SUPREME

Min Credit Score	Max Loan Amount	Max LTV Purchase & Rate/ Term	Max LTV Cash-Out Refinance	Property Type
740	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
720	1,500,000	80	75	
	2,000,000	75	70	

OVERVIEW

The DSCR Supreme Program is designed for the most qualified borrowers from a credit standpoint, with less complex transactions.

GEOGRAPHIC RESTRICTIONS

DC	• Ineligible.
FL	• Charlotte, Lee, Hendry, and Glades Counties: Ineligible.
HI	• Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	• Cook County: Ineligible.
IN	• Indianapolis: Ineligible.
MD	• Baltimore City: Ineligible.
NJ	• Patterson: Ineligible.
NY	• Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. • All originations are restricted as follows: ○ Brooklyn: Ineligible. ○ Orange County: Ineligible. ○ Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	• Lubbock: Ineligible.

GENERAL REQUIREMENTS

Exceptions	• Ineligible
Product Type	• 30 Year Fixed Fully Amortizing • 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 5/6 & 7/6 SOFR ARMs – 30 Year Terms Only
Interest Only	• Borrower to qualify using the I/O payment based on the qualifying rate.
Loan Amounts	• Min \$150,000 - Max \$2,000,000
Interested Party Contributions	• Max 6%
Subordinate Financing	• Ineligible
Occupancy	• Investment Properties Business Purpose ONLY
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Buydown	• Ineligible
Cash Out	• Minimum of 6 months seasoning from most recent transaction, with the exception of delayed financing. • Max Cash in hand: • LTV > 60% = \$1,000,000 or unlimited Cash Out Refinance permitted with 18 months reserves exclusive of cash back • LTV <= 60% = Unlimited
Insurance	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and

Requirements	- must equal at least 6 months of PITIA. - Rent Loss Insurance may be waived with three additional months of PITIA reserves, which cannot be satisfied with cash out. - Blanket policies covering the subject property are eligible.
Escrow Waivers	- Waiving escrows is eligible as follows: 0x30x12 mortgage/housing history - Flood Insurance premiums for properties located in zones A or V must be escrowed. Note that it is permissible to waive taxes and insurance escrows in these instances when the above requirements are met and the loan is priced with an escrow waiver. In addition, elective flood policies are not required to be escrowed.
Prepayment Penalty	Required where permitted. Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	- Credit: 120 days - Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> - U.S. Citizens - Permanent Resident Aliens - Non-Permanent Resident Aliens	<u>Ineligible:</u> - ITIN - DACA - LLCs, partnerships, or corporations (may qualify for vesting only) - Foreign Nationals - See Guide for full restrictions
First Time Homebuyer (FTHB)	Ineligible	
Investor Experience	Not Required	
Entity Vesting	Eligible	

CREDIT REQUIREMENTS

Credit Score	- Minimum Qualifying credit score is 720; Minimum score for additional borrowers/guarantors is 640. - The Representative Score is as follows: - Middle of 3 credit scores or lower of 2 credit scores - For Individual Borrowers: - When there are multiple borrowers, use the highest representative score. - For Entity Vesting: - Use the representative score for the guarantor/borrower with the highest percentage of ownership. For equal ownership, use the highest representative score. - Minimum 25% ownership for the member whose score is used for qualifying.
Tradelines	- All borrowers have 3 scores OR: - Minimum 2 open and reporting 24 months; OR 3 open and reporting 12 months; OR 24-months mortgage rating reporting on credit
Evidence of Primary Residence	- All borrowers must presently maintain a Primary Residence - Borrowers who own a Primary Residence must provide proof of ownership or evidence they are living in a property owned or rented by their spouse/domestic partner - Mortgage and/or rental payments on the subject and Primary Residence not reflected on the original credit report must be documented via an institutional third-party (Verification of Rent or Verification of Mortgage - VOR/VOM) - Borrowers who rent a Primary Residence must provide evidence of an active lease in place - Primary Residence should be supported by one of the following characteristics: - In a different geographical location from the subject property; or - General appeal and location of the Primary Residence is superior to subject property
Housing History	0x30x12

Rent Free	- Rent-free circumstances in which the borrower is not residing with their spouse/domestic partner, will be considered as follows: <u>Refinance transactions</u>: provided the borrower has an established address supported by a rent-free letter from the property owner and there is no suggestion of occupancy in the subject property. <u>Purchase transactions</u>: - When the subject property is in a different geographic area from the residence, or - The borrower is an experienced investor with existing REOs
Credit/Housing Events	- Borrowers with significant derogatory credit events must meet the following criteria: - All borrowers must have reestablished acceptable credit verified after the credit event. - Borrowers with unrelated multiple significant credit events are ineligible. - Minimum 4 years must have elapsed from the date of the credit event. - Chapter 13: use filing date if discharged and must be discharged 1+ years; use dismissal date if dismissed

DSCR RATIO AND RENTAL INCOME REQUIREMENTS

DSCR Ratio	- Min 1.00 - Min 1.15 Short Term Rentals - DSCR Ratio Calculation: - DSCR Ratio = Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans).
Lease and Occupancy Requirements	<u>General Requirements:</u> - For all purchase transactions, it is acceptable for property to be vacant; gross market rents from the 1007 / 1025 will be used. - If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease - All refinance transactions require the property to be leased. Vacant property is not eligible <u>except</u> for: - Properties leased through short term rental agencies; or - With evidence that property has been recently rehabbed and is currently listed for rent. Or - Delayed financing. - Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member.
Short Term Rentals (STR)	<u>Short Term Rentals:</u> - Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. - Min DSCR $\geq$ 1.15 - Max LTV: Lesser of 75% or the Matrix LTV/CLTV - Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs. 1007/1025 or Alternative Short Term Rental Analysis developed by an AMC is required, regardless of how the STR income is computed. <u>Short Term Gross Rental Income Options:</u> 1007/1025 or - Alternative Short Term Rent Analysis form developed by an AMC or 12-month look back on rents received using bank statements or third party rental statements. - When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents. <u>Geographic Restrictions:</u> - Not permitted in the five (5) New York City Boroughs
Long Term Rentals	<u>Monthly gross rents are calculated as follows:</u> - If using the lesser of market rents or the lease, nothing further is required - If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120%

	- If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120% <u>Refinance:</u> - FNMA 1007/1025 required, along with one (1) of the following: - Executed lease with no less than 1 month remaining at time of closing for all units in the subject property. - Month-to-month tenancy is not subject to this requirement with sufficient evidence (such as a signed extension letter, bank statements to support deposits, or 1007/1025, which includes a review of the current lease confirming month-to-month) - Evidence property is listed for rent for delayed financing and/or recently renovated properties.
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ASSET AND RESERVE REQUIREMENTS

Assets	30-day asset verification required - Atypical deposits do not need to be sourced
Reserves	- Reserves PITIA or ITIA, as applicable: <= \$500,000 = 3 months > \$500,000 to \$2,000,000 = 6 months - Cash Out proceeds can be used to satisfy reserves
Gift Funds	- Permitted after meeting 10% minimum borrower contribution, regardless of LTV. - Cannot be used to meet reserve requirements.

PROPERTY REQUIREMENTS

Property Type	Single Family, PUD or Townhome (Attached or Detached)	- Single Family properties with 1 or more accessory dwelling units (ADU) or 2-4 units with 1 ADU are permitted if subject property is in a municipality that allows; - The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.
	Warrantable Condos	- Max 75% LTV - Condominium leaseholds are ineligible
	2-4 Units	- Reduce Matrix LTV by 5% 2-4 units with 1 ADU are permitted provided the subject property is in a municipality that allows; - The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.
Rural Properties	- Not permitted - Websites such as the below will be reviewed to analyze whether the property should be classified as rural and subject to rural guidelines. https://www.consumerfinance.gov/rural-or-underserved-tool/	
Appraisals	- Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5 unless there is a second appraisal 1007/1025 or Short Term Rental Analysis developed by the AMC is required > \$2,000,000 requires a full second appraisal - C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.	
Declining Markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV	
Acreage	Max 2 acres; Acreage and land value must be typical and common for the subject's market.	

INVESTOR DSCR

INVESTMENT PROPERTY (BUSINESS PURPOSE)						
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refinance	Max LTV Cash-Out Refinance	Property Type	
>=1.00 DSCR						
740	<= 100,000	70	70	65	Single Family, PUD, 2-4 Units, Warrantable & Non-Warrantable Condominiums and Condotels	
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	80	80	75		
	1,000,000	85	80	75		
	1,500,000	85	75	70		
	2,000,000	75	75	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
720	<= 100,000	70	70	65		
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	80	80	75		
	1,000,000	85	80	75		
	1,500,000	85	75	70		
	2,000,000	75	75	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
700	<= 100,000	70	70	65		
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	75	75	70		
	1,500,000	75	75	70		
	2,000,000	70	70	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
680	<= 100,000	70	70	65		
	100,000 – 125,000	75	75	70		
	>125,000 - 150,000	75	75	70		
	1,500,000	75	75	70		
	2,000,000	70	70	60		
	2,500,000	70	70	60		
660	<= 100,000	70	65	60		
	100,000 – 125,000	70	65	60		
	>125,000 - 150,000	70	65	60		
	1,000,000	70	65	60		
	1,500,000	65	60	55		
	2,000,000	60	55	50		
>= .75 < 1.00 DSCR						
740	1,000,000	75	75	70		Single Family, PUD, 2-4 Units, Warrantable & Non-Warrantable Condominiums and Condotels
	1,500,000	75	75	70		
	2,000,000	75	75	60		
720	1,000,000	75	75	70		
	1,500,000	70	70	65		
	2,000,000	65	65	NA		
700	1,000,000	75	75	70		
	1,500,000	70	70	65		
	2,000,000	65	65	NA		
680	1,000,000	65	65	60		

OVERVIEW

The Investor DSCR Program is designed to cover the widest range of options available to the DSCR investor.

GEOGRAPHIC RESTRICTIONS

DC	• Ineligible
FL	• Foreign Nationals and Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. • Charlotte, Lee, Hendry, and Glades Counties: Ineligible.
HI	• Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	• Cook County: Ineligible
IN	• Indianapolis: Ineligible
MD	• Baltimore City: Ineligible
NJ	• Patterson: Ineligible
NY	• Brooklyn: Ineligible • Orange County: Ineligible • Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	• Lubbock: Ineligible

GENERAL REQUIREMENTS

Exceptions	• Permitted
Product Type	• 30 Year and 15 Year Fixed • 40-Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) - Max 75% LTV • 30-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) - Max 80% LTV
Interest Only	• Minimum Credit Score: 700 when DSCR < 1.00 • Borrower to qualify using the IO payment based on the qualifying rate.
Loan Amounts	• Minimum: \$75,000 and Max \$3,000,000 • Loan Amounts \$75,000 to < \$125,000: 1.00 DSCR Required
Interested Party Contributions	• 6%
Occupancy	• Investment Properties (Business Purpose)
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Buydown	• Purchase Only • Seller Paid Buydown/Concession • Minimum Score 680 • Minimum DSCR >= .75 ○ Borrower qualifies at fully amortized rate (pre-buydown) ○ Lender Paid or 3rd Party Paid Buydown (Excluding Real Estate Agents, Brokerages, Borrower, or relatives) permitted for Correspondent Clients only
Cash-Out	• LTV > 60% = \$1,000,000 or unlimited Cash Out Refinance permitted with 18 months reserves exclusive of cash back • LTV <=60% = Unlimited • NOTE: that cash-in-hand limits do not apply to Delayed Financing Transactions • Condos in FL max LTV 75%
Subordinate Financing	• Only eligible when used in conjunction with the Second Lien Select Program
Insurance Requirements	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. • Rent Loss Insurance may be waived with three additional months of PITIA reserves, which cannot be satisfied with cash out. • Blanket policies covering the subject property are eligible
Escrow Waivers	• Waiving escrows is eligible as follows: ○ 0x30x12 housing/rental history ○ Maximum 80% LTV.

	○ Flood Insurance premiums for properties located in zones A or V must be escrowed. It is permissible to waive taxes and insurance escrows in these instances when the above requirements are met and the loan is priced with an escrow waiver. In addition, elective flood policies are not required to be escrowed.
Prepayment Penalty	• Required where permitted. Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	• Credit: 120 days • Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Alien (U.S. Credit only)	<u>Ineligible:</u> • ITIN • DACA • Foreign National (Eligible under the Foreign National Program) • LLCs, partnerships, or corporations (may qualify for vesting only) • See Guide for full restrictions
First Time Homebuyer (FTHB)	• Eligible with an established primary residence	
Investor Experience	• Not Required	
Entity Vesting	• Eligible	

CREDIT REQUIREMENTS

Credit Score	• Minimum Qualifying credit score is 660; Minimum score for additional borrowers/guarantors is 640. • The Representative Score is as follows: ○ Middle of 3 credit scores or lower of 2 credit scores • For Individual Borrowers: When there are multiple borrowers, use the highest representative score. • For Entity Vesting: ○ Use the representative score for the guarantor/borrower with the highest percentage of ownership. For equal ownership, use the highest representative score. ○ Minimum 25% ownership for the member whose score is used for qualifying.
Tradelines	• All borrowers have 3 scores OR: • Minimum 2 open and reporting 24 months; OR • 3 open and reporting 12 months; OR • 24-months mortgage rating reporting on credit
Evidence of Primary Residence	• All borrowers must presently maintain a Primary Residence • Borrowers who own a Primary Residence must provide proof of ownership or evidence they are living in a property owned or rented by their spouse/domestic partner. • Borrowers who rent a Primary Residence must provide evidence of an active lease in place • Primary Residence should be supported by one of the following characteristics: ○ In a different geographical location from the subject property; or ○ General appeal and location of the Primary Residence is superior to subject property
Housing History	• 0x30x12 – No LTV reduction • 1x30x12 - 5% LTV reduction
Rent Free	• Rent-free circumstances in which the borrower is not residing with their spouse/domestic partner, will be considered as follows: ○ Refinance transactions: provided the borrower has an established address supported by a rent-free letter from the property owner and there is no suggestion of occupancy in the subject. ○ Purchase transaction: ▪ When the subject property is in a different geographic area from the residence, or ▪ The borrower is an experienced investor with existing REOs
Credit/Housing Event	• >=36 Months: No LTV reductions • >=24 Months: ○ Max 75% LTV Purchase ○ Max 70% LTV Rate & Term Refinance & Cash Out ○ Discharged Chapter 13, use filing date; minimum 1 year discharged ○ Dismissed Chapter 13, use dismissal date

DSCR & RENTAL INCOME REQUIREMENTS

DSCR Ratio	• Minimum DSCR .75 • Loan amounts $\geq$ \$75,000 - $<$ \$125,000 require a minimum DSCR of 1.00 • Short Term Rentals minimum DSCR $\geq$ 1.15 • Debt-Service Coverage Ratio = Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans)
Lease and Occupancy Requirements	<u>General Requirements:</u> • For all purchase transactions, it is acceptable for property to be vacant; gross market rents from the 1007 / 1025 will be used. ◦ If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease • All refinance transactions require the property to be leased/occupied <u>except</u> for: ◦ Properties leased through short term rental agencies; or ◦ Properties that have been recently rehabbed and are currently listed for; or ◦ Delayed Financing. • Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member.
Short Term Rentals (STR)	<u>Short Term Rentals:</u> • Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. • Min DSCR $\geq$ 1.15 • Max LTV: Lesser of 75% or the Matrix LTV/CLTV • Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs • 1007/1025 or Alternative Short Term Rental Analysis developed by an AMC is required, regardless of how the STR income is computed <u>Short Term Gross Rental Income options:</u> • 1007/1025; or • Alternative Short Term Rent Analysis form developed by an AMC; or • 12-month look back on rents received using bank statements or third party rental statements • When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents <u>Geographic Restrictions:</u> • Not permitted in the five (5) New York City Boroughs
Long Term Rentals	<u>Monthly gross rents are calculated as follows:</u> • If using the lesser of market rents or the lease, nothing further is required • If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120% • If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120% <u>Refinance:</u> • FNMA 1007/1025 required, along with one (1) of the following (unless occupancy is not required based on Lease/Occupancy Requirements section above): ◦ Executed lease with no less than 1 month remaining at time of closing for all units in the subject property. ◦ Month-to-month tenancy is not subject to this requirement with sufficient evidence of extension, such as a signed extension letter, or 1007, which includes a review of the current lease confirming month-to-month.

ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Atypical deposits do not need to be sourced
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Reserves	• Loan Amount to \$500,000 and $\leq 80\%$ LTV = 3 months of PITIA • Loan Amount to \$500,000 and $> 80\%$ LTV = 6 months of PITIA • Loan Amount $> \\$500,000$ to $\\$2,000,000$ = 6 months of PITIA • Loan Amount $> \\$2,000,000$ = 12 months of PITIA • 2-4 Units at 80% LTV requires greater of 6 months or reserves indicated above • Cash Out may be used to satisfy requirement
Gift Funds	• Permitted after meeting minimum 10% borrower contribution regardless of LTV • Cannot be used to meet reserve requirements

PROPERTY REQUIREMENTS

Property Types	Single Family, PUD or Townhouse (Attached or Detached)	• Single family properties with 1 or more accessory dwelling unit (ADU) or 2-4 units with 1 ADU are eligible if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables	
	2-4 Units Restrictions	• 2 Units - Refinance: ◦ Max LTV: 80% • 3-4 Units - Refinance: ◦ ≥ 1.00 DSCR = Max LTV 75% ◦ < 1.00 DSCR = Max LTV 70%	
	Condos (Warrantable and Non-Warrantable)	• Ineligible for $> 80\%$ LTV <u>Purchase and Rate & Term Refinance:</u> • 720+ credit score / Max 80% • < 720 credit score / Max 75%	<u>Cash Out Refinance</u> • 720+ credit score / Max 75% • < 720 credit score / Max 70%
		• Condominium leaseholds are ineligible	
	Condotels	<u>Purchase or Rate & Term Refinance:</u> • 700 credit score / Max LTV 70% • 680 credit score / Max LTV 65% • Max Loan Amount: \$1,500,000	<u>Cash Out Refinance:</u> • 700 credit score / Max LTV 65% • 680 credit score / Max LTV 60%
Rural Properties	• Properties in a resort area will only be considered as follows: ◦ Maximum LTV of 65% and ◦ Min DSCR ≥ 1.00 ◦ Examples of acceptable resort areas include beach towns, ski resort areas, golf communities or communities with other major recreational activities • If property is accessible by a gravel road and distance of comparable is > 1 mile away, the property could be considered rural even if it is marked suburban, and then Max LTV is the lesser of 65% LTV or the applicable Matrix LTV • Properties must be accessible by roads that meet state/local minimum standards • Properties must be suitable for year-round occupancy regardless of location • Websites such as the below will be reviewed to analyze whether the property should be classified as rural and subject to rural guidelines: ◦ https://www.consumerfinance.gov/rural-or-underserved-tool/		
Appraisals	• Second appraisal required for all loan amounts $> \\$2.0M$ • 1007/1025 or Short Term Rental Analysis developed by the AMC is required • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5 except for those with a full second appraisal • C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.		
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when $> 65\%$ LTV		
Acreage	• Max 2 acres; Acreage and land value must be typical and common for the subject's market		

INVESTOR DSCR NO RATIO

INVESTMENT PROPERTY (BUSINESS PURPOSE)					
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refinance	Max LTV Cash-Out Refinance	Property Type
740	1,000,000	75	75	65	Single Family, PUD, 2-4 Units, Warrantable & Non-Warrantable Condominiums
	1,500,000	70	70	60	
720	1,000,000	70	70	60	
	1,500,000	65	65	60	
700	1,000,000	65	65	60	
	1,500,000	65	65	60	

OVERVIEW

The Investor DSCR No Ratio Program is designed to offer certain DSCR options when the rental income is not sufficient to cover the cover the monthly payments. This program allows investors additional options.

GEOGRAPHIC RESTRICTIONS

DC	Ineligible
FL	- Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. - Charlotte, Lee, Hendry, and Glades Counties: Ineligible
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	Cook County: Ineligible
IN	Indianapolis: Ineligible
MD	Baltimore City: Ineligible
NJ	Patterson: Ineligible
NY	- Brooklyn: Ineligible - Orange County: Ineligible - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	Lubbock: Ineligible

GENERAL REQUIREMENTS

Exceptions	Ineligible
Product Type	30 Year Fixed 15 Year Fixed
Interest Only	Ineligible
Loan Amounts	Min: \$125,000 and Max \$1,500,000
Interested Party Contributions	6%
Subordinate Financing	Ineligible
Occupancy	Investment Properties (Business Purpose)
Loan Purpose	Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Buydown	Ineligible
Refinances – Continuity of Obligation	- Continuity of ownership is required on all refinance transactions, which occurs when at least one borrower(s) or member of the LLC on the existing mortgage is also a Borrower on the new refinance transaction. - When an existing mortgage will be satisfied because of the refinance transaction, the following requirements must be met:

	○ At least one borrower on the refinance mortgage held title for the most recent six (6) month period and the mortgage file contains documentation evidencing the borrower has been making timely mortgage payments, including the payments for any secondary financing, for the most recent six (6) month period • At least one borrower on the refinance mortgage inherited or was legally awarded the mortgaged premises by a court in the case of divorce, separation, or dissolution of domestic property
Properties Listed for Sale	• All Refinance transactions: property cannot be listed for sale in the last 12 months prior to the application date
Cash-Out	• LTV > 60% = \$1,000,000 • LTV <= 60% = Unlimited • Cash-in-hand limits do not apply to Delayed Financing Transactions • Not permitted for Non-Permanent Resident Aliens • Cash Out Refinance refinances on properties acquired within the past 12 months are ineligible
Max Financed Properties	• Max 20
Insurance Requirements	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. Blanket policies are permitted.
Escrow Waivers	• Ineligible
Prepayment Penalty	• Required where permitted. Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	• Credit 120 days • Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Alien ○ U.S. Credit only ○ Below Visa Types only permitted: E-1, E-2, E-3, EB-5, G-1 through G-5, H1-B, L-1, NATO, O-1, R-1, TN NAFTA. ○ Cash Out not permitted	<u>Ineligible:</u> • ITIN • DACA • Foreign National • LLCs, partnerships, or corporations (may qualify for vesting only) • Tenants in common are ineligible unless all parties match the borrowers on the loan. • See Guide for full restrictions
First Time Homebuyer (FTHB)	• Eligible with an established primary residence	
Investor Experience	• Not Required	
Entity Vesting	• Layering of entities is not permitted.	

CREDIT REQUIREMENTS - INVESTOR DSCR NO RATIO

Credit Score	• Minimum credit score: 700 • The Representative Score is the lowest middle score of all borrowers
Tradelines	• Each borrower must have a minimum of two (2) trades within 24 months that show a 12 month history OR a combined credit profile between both borrowers with a minimum of three (3) tradelines • Tradeline activity is not required. • Eligible trades cannot have delinquency in the past 24 months • Current housing, not reporting on credit may count as a trade if cancelled checks/debits are provided.
Derogatory Credit	• All derogatory revolving and installment accounts 60 days delinquent within 4 years of closing requires a full explanation • Non-title charge-offs and collections within three years and exceeding \$5,000 (individually or aggregate) must be paid. • Medical collections less than \$15,000 are not required to be paid • IRS tax payment plans approved by the IRS are permitted provided they are current and do not carry a lien on the property. ○ A copy of the approved repayment plan is required

	○ A minimum of 2 months has elapsed on the plan and evidence of timely payments for the most recent 2 months is provided
Housing History	• 0x30x12
Credit/ Housing Events	• 3 years seasoning is required • Chapter 13 must be discharged or dismissed 2+ years • Multiple bankruptcies are ineligible.

DSCR AND RENTAL INCOME REQUIREMENTS

DSCR Ratio	• 0 to <.75 • Debt-Service Coverage Ratio = Gross Income / PITIA
Lease and Occupancy Requirements	• For purchase transactions, it is acceptable for the property to be vacant. • Vacant properties on a refinance are not eligible. • If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the lease. • Gross market rents are calculated using the lesser of the lease amount or market rents from the 1007/1025. • A copy of the lease is not required. • Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member. • Short term rentals are ineligible.

ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Business assets are permitted provided Borrower has 100% ownership of the business. • Atypical deposits do not need to be sourced
Reserves	• Loan Amount >=\$75,000 to \$500,000 – 3 months of PITIA • Loan Amount > \$500,000 to \$1,500,000 = 6 months of PITIA • Cash Out Refinance may be used to satisfy requirement
Gift Funds	• Eligible after meeting minimum 10% borrower contribution regardless of LTV. • Cannot be used to meet reserve requirements

PROPERTY REQUIREMENTS

Property Types	Single Family , PUD or Townhome (Attached or Detached)	• Single Family Residences with 1 or more accessory dwelling units (ADU) are permitted if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations and 2 similar comparables.
	2-4 Units	• 2-4 units with 1 ADU are permitted if property is in a municipality that allows; • The appraiser must specifically confirm compliance with local regulations and 2 similar comparables.
	3-4 Units Restrictions	• Refinance: ○ Max LTV 70%
	Condos (Warrantable and Non-Warrantable)	• Condominium leaseholds are ineligible
	Condotel	• Ineligible
Rural Properties	• Ineligible • Websites such as the below will be reviewed to analyze whether the property should be classified as rural and subject to rural guidelines. ○ https://www.consumerfinance.gov/rural-or-underserved-tool/	
Appraisals	• 1 Full Appraisal is required • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5 • C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when > 65% LTV	
Acreage	• Max 2 acres; Acreage and land value must be typical and common for the subject's market.	

DSCR MULTI & MIXED (5-10 UNITS MULTI OR 2-8 UNITS MIXED)

Investment Property (Business Purpose)					
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refinance	Max LTV Cash-Out Refinance	Property Type
>=1.00 DSCR					
720+	1,500,000	75	75	70	Residential 5-10 Units and Mixed Use 2-8 Units
	2,000,000	75	70	65	
	2,500,000	70	70	65	
	3,000,000	70	70	65	

OVERVIEW

The DSCR Multi & Mixed Program is designed specifically for the investors who want to use DSCR income for a multi-unit or mixed use property.

GEOGRAPHIC RESTRICTIONS

DC	Ineligible
FL	- Foreign Nationals and Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. - Charlotte, Lee, Hendry, and Glades Counties: Ineligible
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	Cook County: Ineligible
IN	Indianapolis: Ineligible
MD	Baltimore City: Ineligible
NJ	Patterson: Ineligible
NY	- Brooklyn: Ineligible - Orange County: Ineligible
TX	Lubbock: Ineligible

GENERAL REQUIREMENTS

Exceptions	Eligible
Product Type	30 Year Fixed, 15 Year Fixed 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 and 7/6 SOFR ARMs, 30 Year Term – Fully Amortizing
Interest Only	Max LTV: 75%
Loan Amounts	- Min: \$250,000 and Max \$3,000,000 - Loan sizes under \$400,000 require a 5% reduction to LTV
Interested Party Contributions	6%
Occupancy	Investment Properties (Business Purpose)
Loan Purpose	Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Temporary Buydown	Ineligible
Cash-Out	Max cash-out: \$1,000,000
Subordinate Financing	Ineligible
Insurance Requirements	In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. Blanket policies covering the subject property are permitted.

Escrow Waivers	• Ineligible
Prepayment Penalty	• Required where eligible. Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	• Credit: 120 days • Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Aliens • Foreign Nationals	<u>Ineligible:</u> • ITIN • DACA • LLCs, partnerships, or corporations (may qualify for vesting only) • See Guide for full restrictions
First Time Homebuyer (FTHB)	• Not Permitted	
Investor Experience	• Mixed Use 2-8 Units: ◦ First time investors are ineligible. ◦ Borrower must have a history of owning and managing commercial or residential real estate for at least 1 year in the last 3 years. • Residential 5-10 Units: ◦ First time investors are eligible with a 0x30x24 housing history or when the Primary Residence is owned free and clear.	
Entity Vesting	• Eligible	
Foreign National	• Min DSCR ≥ 1.00 • Foreign Credit is eligible • Reserves: 12 months PITIA	• LTV requirements: ◦ $\leq \\$2,000,000$ = Purch & Rate/Term: 70% LTV or Cash-Out: 65% LTV ◦ $> \\$2,000,000 - \\$2,500,000$ = Purch & Rate/Term: 65% LTV or Cash-Out: 60% LTV ◦ $> \\$2,500,000 - \\$3,000,000$ = Purch & Rate/Term: 60% LTV or Cash-Out: 55% LTV

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score is 720 • The Representative Score is as follows: ◦ Middle of 3 scores or lower of 2 of all Borrowers
Tradelines	• All borrowers have 3 scores: or • Minimum 2 open and reporting 24 months; or • 3 open and reporting 12-months.
Housing History	• 0x30x24
Credit / Housing Events	• 2 years seasoning is required • Chapter 13: use filing date if discharged; use dismissal date if dismissed

DSCR AND RENTAL INCOME REQUIREMENTS

DSCR Ratio	• Min 1.00 • Debt-Service Coverage Ratio = Gross Income / PITIA
Rental Income Requirements	• Use lower of Estimated market rent or lease agreement on a refinance. • Purchases use the estimated market rent. • For leases that have converted to month-to-month, provide 2 months bank statements to support rental income. • Reduce qualifying rents by any management fee reflected on the appraisal report. • 2-8 Units Mixed Use: ◦ Income from commercial space must not exceed 49% of the total property income.
Lease Requirements	• For Purchase, Rate & Term Refinance and Cash-Out transactions, all units must be either leased or in lease ready condition meaning the properties have been cleaned, no renovations or repairs to the properties are needed and the properties are immediately available to be leased to an eligible tenant. • On purchase transactions, copies of the leases are not required.

	• Properties with expired leases that have converted to month to month per the terms of the lease will require bank statements for the lesser of two months or the period after the lease expired. • Corporate lease agreements are acceptable with lease terms consistent with typical market standards and will be subject to standard market rent verification. • Lease agreements that allow single room occupancy or boarder leases are not permitted. • Short term rentals are not permitted. • Third party sale and leaseback agreements or contract for deed transactions will not be permitted. • All leases must be in U.S. Dollars.
Occupancy Requirements	• Vacant Unit(s) – Use 75% of the market rents to qualify. • Max 1 vacancy on a 2-3 Unit property. • Max 2 vacancies on a 4+ Unit property. • On a purchase, max 3 vacancies on a 7+ Unit property. • Must provide evidence vacant units are actively listed for rent or have a recently executed lease in place. • All vacant units must be in lease-ready condition.
Eligible Tenants	• Neither the borrower(s) nor the borrower's immediate family shall at any time occupy the residential units. • Borrowers must attest that all residential tenants are non-borrower affiliated. • Commercial units may be occupied by the borrower's business, however in that instance the lesser of market rents or the amount of rent from the lease will be used when calculating the DSCR for the borrower occupied units.

ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required
Reserves	• Loan Amt <= \$1,500,000: 6 Months PITIA • Loan Amt > \$1,500,000 - \$2,000,000: 9 months PITIA • Loan Amt > \$2,000,000 - \$2,500,000: 12 Months PITIA • Loan Amt > \$2,500,000 - \$3,000,000 12 Months PITIA • Cash Out Refinance may be used to meet reserve requirements
Gift Funds	• Eligible after meeting min 10% borrower contribution regardless of LTV. • Cannot be used to meet reserve requirements

PROPERTY REQUIREMENTS

Property Type	• Residential 5-10 Units • Mixed Use 2-8 units. • For properties with less than 5 units, at least 1 unit must be commercial. ○ 2-3 Units: Max 1 commercial unit ○ 4-5 Units: Max 2 commercial units ○ 6-8 Units: Max 3 commercial units ○ Commercial space must not exceed 49% of the total building area • Multiple buildings on one parcel are ineligible.
Rural Properties	• Ineligible • Websites such as the below will be reviewed to analyze whether the property should be classified as rural and subject to rural guidelines. ○ https://www.consumerfinance.gov/rural-or-underserved-tool/
Property Requirements	• Minimum 400 square feet per unit • Must be accessible for year-round residential use • Each residential unit must contain a full kitchen and bath • Represent the highest and best use of the property
Prohibited Property Use	Properties that contain one or more commercial establishments in any of the following businesses are prohibited: • Adult Activities (including bars where food is not served and / or any establishment where one must be an Adult to enter). • Any activity not permitted by law, ordinance, or regulation. • Day care or childcare. • Gambling activities.

Prohibited Property Use (cont'd)	• Manufacturing, distribution, and warehouse. • Marijuana related activities. • Medical activities not under the supervisor of a licensed doctor, dentist, chiropractor, psychologist, nurse practitioner, or nutritionist. • Transient boarding, rooming house or similar. • Vehicle repair or vehicle related included garages. • Dry Cleaners or laundromats. • Other property uses outside of character for the neighborhood in which the property is located, which present higher than ordinary risks for safety, or which are controversial within their community.
Property Condition	• No fair or poor ratings • No environmental issues (Storage or use of hazardous material, ex. Dry Cleaners, Laundromat) • No health or safety issues as noted by the appraiser (ex. Broken windows, stairs, etc.) • No excessive deferred maintenance that could become a health or safety issue for tenants. • No structural deferred maintenance (ex. Foundation, roof, electrical, plumbing)
For Sale by Owner	• Ineligible
Appraisals	<u>Residential 5-10 units:</u> • FHLMC 71A • FHLMC 71B for loan amounts < \$750,000 • Narrative report <u>Mixed-Use 2-8 Units:</u> • FHLMC 71A • FHLMC 71B for loan amounts < \$750,000 • General Purpose Commercial Forms (ex. GP Commercial Summary Form) • Narrative report <u>Second Appraisal:</u> • Loans > \$2,000,000 require a second appraisal unless a 71A or Commercial Narrative report is provided. <u>Appraisal Review:</u> • BPO required on all transactions except for those including two full appraisals. <u>Appraisal Requirements:</u> • The following are required with each report: ○ Full Interior Inspection of each unit ○ Rent roll ○ Income and Expense Statement ○ Photos of subject including exterior/interior and street scene ○ Aerial photo ○ Sketch or floor plan of typical units. ○ Map ○ Appraiser qualifications
Transferred Appraisals	• Not permitted
Age of Appraisal	• 120 Days. Appraisals are not permitted to be extended. A new report is required after 120 days.
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when >65% LTV.
Acreage	• Max 2 acres; Acreage and land value must be typical and common for the subject's market.

FOREIGN NATIONAL

SECOND HOME						
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refi	Max LTV Cash-Out Refi	Property Type	
700+	1,500,000	75	70	65	Single Family, Warrantable and Non-Warrantable Condo, and Condotel	
	2,500,000	70	70	65		
	3,000,000	65	65	60		
Foreign Credit	1,000,000	70	70	65		
	1,500,000	70	70	65		
	2,500,000	65	65	60		
	3,000,000	60	60	55		
INVESTMENT PROPERTY						
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refi	Max LTVCash-Out Refi	Property Type	
700+	2,000,000	70	70	60	Single Family, 2-4 Units , Warrantable and Non-Warrantable Condo, and Condotel	
	2,500,000	65	65	60		
	3,000,000	60	60	55		
Foreign Credit	2,000,000	65	65	60		
	2,500,000	60	60	55		
	3,000,000	55	55	50		
INVESTMENT PROPERTY						
DSCR						
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refi	Max LTV Cash-Out Refi	Property Type	
DSCR >=1.00						
700+	2,000,000	70	70	65	Single Family, 2-4 Units, Warrantable and Non-Warrantable Condo, and Condotel	
	2,500,000	65	65	60		
	3,000,000	60	60	55		
Foreign Credit	2,000,000	70	70	65		
	2,500,000	65	65	60		
	3,000,000	55	55	50		

OVERVIEW

The Foreign National Program is designed to cover a range of income documentation types, and other program specific options for the Foreign National Borrower.

- Foreign Nationals are eligible for DSCR (excluding Multi & Mixed) under the Foreign National Program.
- For Multi & Mixed-Use properties see the Multi & Mixed Program.

GEOGRAPHIC RESTRICTIONS

DC	• Investment Properties are ineligible.
FL	• Foreign Nationals from the Peoples Republic of China are ineligible. • Charlotte, Lee, Hendry, and Glades Counties: Investment Properties are ineligible.
HI	• Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	• Cook County: all occupancies are ineligible. • Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
IN	• Indianapolis: Investment Properties are ineligible.
MD	• Baltimore City: all occupancies are ineligible.
NJ	• Patterson: Investment Properties are ineligible.

NY	• NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. • All originations are restricted as follows: ○ Brooklyn: Investment Properties are ineligible. ○ Orange County: all occupancies are ineligible. ○ No 5/6 ARMs on Investment Property loans below the FNMA loan limit. ○ See NY Subprime section for requirements. ○ Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	• Lubbock: Investment Properties are ineligible.

GENERAL REQUIREMENTS

Exceptions	• Eligible
Product Type	• 30 Year Fixed, 15 Year Fixed • 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing).
Interest Only	• Eligible on 30-Yr Fixed I/O
Loan Amounts	• Min: 150,000 and Max \$3,000,000
2-1 Buydown	• Ineligible
Occupancy	• Full Doc/Alt Doc: Second home (1-Unit only) and Investment Properties 1-4 Units • DSCR: Investment properties 1-4 Units (Business Purpose)
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
Cash Out Refinance	• > 55% LTV = \$1,000,000; or • <= 55% LTV = Unlimited • Condo and 2-4 Units = Max Cash LTV 65%
Interested Party Contributions	<u>Second homes:</u> • <= 75% LTV = 9% <u>Investment:</u> • ALL = 6%
ACH Payment	• Automatic Payment Authorization (ACH) Form is required for all foreign national borrowers. Funds must be from a U.S. Bank. ○ The executed ACH enrollment for payment of Principal, Interest, Taxes and Insurance must be provided. ○ The ACH enrollment form must include the bank routing number, account number, and account type. Borrowers may select a date within the grace period stated on the Note. • To set up the Automatic Payment Authorization (ACH), a copy of the borrower's cancelled check to validate the bank's routing and account number and the executed ACH form are required prior to or no later than closing.
Subordinate Financing	• Ineligible
Insurance Requirements	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. • Rent Loss Insurance may be waived with three additional months of PITIA reserves. • Blanket policies covering the subject property are permitted.
Escrow Waivers	• Ineligible
Prepayment Penalty	• Required where permitted for Investment Properties. Refer to the "Business Purpose Licensing & PPP Restrictions" PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	• Credit: 120 days • Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	• A Foreign National is a non-U.S. citizen that must live and work in another country and be a legal resident of that same country. • Borrowers may not purchase property intended for use as a Primary Residence. • If a non-U.S. Citizen is borrowing with a U.S. Citizen, Foreign National documentation requirements still apply.
Documentation Requirements	• If a non-U.S. Citizen is borrowing with a U.S. Citizen, Foreign National documentation requirements still apply. • The following documentation is required: ○ Copy of the borrower's valid and unexpired passport and: ○ Copy of the borrower's unexpired visa OR an I-797 form (Notice of Action) with valid extension dates and I-94 Form (Arrival/Departure Record), or ○ Borrowers from countries participating in the State Department's Visa Waiver Program (VWP) are not required to provide a valid visa. ▪ Participating countries can be found at https://travel.state.gov/content/travel/en/U.S.-visas/tourism-visit/visa-waiver-program.html. • Citizens of Canada traveling to the United States do not require a nonimmigrant visa. • A list of nonimmigrant Visa types is located on the U.S. Department of State website: ○ https://travel.state.gov/content/travel/en/U.S.-visas/visa-information-resources/all-visa-categories.html • All parties (Borrower's and Seller's) involved on the transaction must be screened through exclusionary lists and must be cleared through OFAC's SND list: http://sdnsearch.ofac.treas.gov/ • Borrowers from OFAC sanctioned countries are ineligible: ○ http://www.treasury.gov/resourcecenter/sanctions/Programs/Pages/Programs.aspx • Individuals with Diplomatic immunity are not eligible. Immunity status is listed on the reverse side of the U.S. issued ID card or at: https://2009-2017.state.gov/s/cpr/rls/dpl/index.htm • Documents signed outside of the United States must be notarized by a U.S. embassy or consular official.
Non-Occupant Co-Borrower	• Eligible when the non-occupying co-borrower is a U.S. Citizen taking title to the property.
First Time Homebuyer (FTHB)	• Eligible
Investor Experience	• Not Required
Power of Attorney	• Ineligible

CREDIT REQUIREMENTS

Credit Score	• <u>U.S. Credit:</u> ▪ A U.S. credit report should be obtained for each borrower with a valid Social Security Number, and is not required for borrowers without a SSN. When a U.S. Credit report is obtained, the minimum credit score is 700. ▪ The primary borrower must have a valid credit score from at least 2 of the following 3 agencies: Experian (credit score), Transunion (Empirica), and Equifax (Beacon). Only credit scores from these agencies are acceptable. ○ Select the middle credit score when 3 scores are provided and the lower credit score when only 2 credit scores are provided. • <u>Foreign Credit:</u> ○ For borrowers without a valid Social Security Number, an Individual Taxpayer Identification Number (ITIN) is also eligible. ○ Borrowers who do not have an SSN or ITIN may still proceed using Foreign Credit. ○ The URLA should be updated with 999-99-9999 in the SSN field. ○ All other Program requirements still apply.
Tradelines	• <u>Qualifying with U.S. Credit:</u> ○ Minimum: 2 open and reporting 24 months, or 3 open and reporting 12 months even if 3 credit scores are available.

Tradelines (cont'd)	• <u>Qualifying Foreign Credit:</u> ○ A Qualifying Foreign Credit borrower may or may not have a U.S. credit report with no credit score, a single credit score, or a credit score with insufficient tradelines. ○ Must establish an acceptable credit history demonstrating either 2 open tradelines reporting for 2 years with activity in the most recent 12 months displaying or three open trades with a 12+ month rating, in either example trades must experience no derogatory payments • <u>Qualifying Foreign Credit Tradeline Requirements</u> can be accomplished by any of the following: ▪ Tradelines evidenced on an international credit report if a U.S. credit report cannot be produced or does not reflect sufficient trades; and/or ▪ Alternative tradelines consisting of two credit reference letter(s) from the borrower's country of origin with the following information: ▪ State the type and length of the relationship, how the accounts are held, and status of the account. ▪ Contact information must be provided for the person signing the letter; and ▪ Any translation must be signed and dated by an unaffiliated certified translator. Google translator is not permitted. • If a Primary Residence is owned free and clear but taxes and insurance are paid for 12 months, that can be considered one of the tradelines.
Housing History	• 0x30x12 • CPA Letter – Free and Clear Property Form or other evidence may be used as verification. • Property Tax and/or Property Insurance paid in full annual invoice(s) may be used to validate the housing expenses. • Taxes and insurance must be included in the DTI, unless evidence is provided to support taxes and/or insurance does not exist.
Credit / Housing Event	• 4 years seasoning is required

DTI AND RESIDUAL INCOME REQUIREMENTS

DTI Requirements	• Max 50% for Full Doc or Asset Utilization
Residual Income	• Required on Second Homes only • Defined as Gross Monthly Income less Total Monthly Obligations. • Requirement based on # in household • Applies to HPML loans or when the DTI > 43% on Second Homes only: ○ 1 person = \$1,500 ○ 2 people = \$2,500 ○ Add \$150 per additional household member (related or unrelated)

INCOME REQUIREMENTS

Full Doc - Income Requirements	
Wage Earners	• Letter from employer on company letterhead providing current monthly salary and YTD earnings, OR 2 months' pay stubs with YTD earnings. • Verification of earnings for the last 2 years (letter from employer or W-2 equivalent) • Employer to be independently verified (via LexisNexis, D&B International Business Search, Google, or other means of verification). • An unaffiliated certified translator must translate all documents.
Self-Employment	• Borrowers who have been self-employed for at least 2 years are eligible. • The following items must be obtained: ○ Letter from a CPA providing income for the last 2 years and year to date earnings. ○ A copy of the Accountant's current license is required. ○ Self-employed business and CPA are to be independently verified (via Lexis Nexis, D&B international business search, google, or other means of verification). • An unaffiliated certified translator must translate all documents. • Verbal verification of employment is not required.
Rental Income	• Evidence of borrower's ownership of the property • For a refinance and/or to document rental income on other REOs: ○ Lease agreement ○ Two months of bank statements demonstrating receipt of rental income.

	○ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source. ○ 75% of the rental amount on the lease is used for qualifying.
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Alt Doc - Income Requirements

Asset Utilization	• Eligible as a sole source of income or combined with other income. • Eligible Qualified Assets must be seasoned for a minimum of three (3) months. • Borrowers must have the lesser of: ○ 1.5 times the loan balance or ○ \$1,000,000 in Qualified Assets, both of which must be net of down payment, closing costs, and required reserves to qualify. • Monthly Income Calculation: ○ Net Qualified Assets / 60 months • Foreign Assets are eligible.
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DSCR RATIO AND RENTAL INCOME REQUIREMENTS

DSCR Ratio	• Min 1.00 • Min 1.15 Short Term Rentals • DSCR Ratio Calculation: ○ Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans)
Lease and Occupancy Requirements	• All refinance transactions require the property to be leased. Vacant properties are ineligible <u>except</u> for: ○ Properties leased through short term rental agencies; or ○ With evidence that property has been recently rehabbed and is currently listed for rent. • Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member.
Short Term Rentals (STR)	<u>Short Term Rentals:</u> • Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. • Min DSCR ≥ 1.15 • Max LTV: Lesser of 70% or the Matrix LTV/CLTV • Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs <u>Short Term Gross Rental Income:</u> • The following options are available: • 1007/1025 or • Alternative Short Term Rent Analysis form developed by an AMC or • 12-month look back on rents received using bank statements or third party rental statements. • When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents. <u>Geographic Restrictions:</u> • Not permitted in the five (5) New York City Boroughs
Long Term Rentals	<u>Long Term Gross Rental Income:</u> • If using the lesser of market rents or the lease, nothing further is required. • If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. • If the actual rent exceeds 120% of the market rents, the rents are capped at 120%. • If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. • If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%

ASSET AND RESERVE REQUIREMENTS

Assets	• 30 days asset verification required for U.S. Based Accounts; 60 days for Foreign Assets • Funds required for downpayment and closing costs must be seasoned in a U.S. depository institution for 10 days prior to closing unless funds are held in a foreign bank with U.S. Based FDIC insured branches OR wired directly to the closing agent
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Assets (cont'd)	- Funds used for reserves may be held in a foreign account. The value of the asset must be converted to U.S. dollars and include a printout of the current exchange rate. - Contact information must be provided by the person signing the letter, and the letter must state the type of relationship, length of the relationship, how accounts are held, and current balance. - Large deposits (> 50% of gross income) must be documented on Full Doc and Alt Doc Purchases.
Reserves	12 months of PITIA 6-months with 5% LTV reduction. - Cash Out Refinance may be used to satisfy requirements - Reserves are not required when using Asset Utilization as sole source of income.
Gift Funds	- Permitted after meeting minimum 10% borrower contribution, regardless of LTV. - Max loan amount of \$1,000,000 when there is a gift

PROPERTY REQUIREMENTS

Property Types	Single Family, PUD, Townhome (Attached or Detached)	• Single family residences with 1 or more accessory dwelling units (ADU) are eligible if subject property is in a municipality that allows. • The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.	
	Condominiums and 2-4 Units	• Condos: Warrantable and Non-Warrantable • <u>Condos and 2-4 Units Max LTV/CLTV:</u> ○ Purchase and Rate & Term Refinance = 70% ○ Cash Out = 65% • Condominium leaseholds are ineligible • 2-4 Units with 1 ADU are eligible if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.	
	Condotels	• Full Doc Second Home & Investment Property Purchase or Rate & Term Refinance: ○ Max 70% LTV • Full Doc Second Home & Investment Property (including Business Purpose Loans): ○ Max 60% LTV	• DSCR Purchase or Rate & Term Refinance: ○ Max 65% LTV • DSCR Cash Out Refinance ○ Max 60% LTV
		• Max Loan Amount \$1,500,000 • Must have full kitchen & 1 separate bedroom. • Must be in a resort area or affiliated with a national hotel chain.	
	Multi-Family and Mixed-Use	• Refer to the DSCR Multi & Mixed Program	
Rural Properties	• Ineligible • Websites such as the below will be reviewed to analyze whether the property should be classified as rural and subject to rural guidelines. ○ https://www.consumerfinance.gov/rural-or-underserved-tool/		
Appraisals	• Second appraisal required for loan amounts > \$2M • DSCR: ○ C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.		
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV		
Acreage	• Max 2 acres		